Deutsche Bank
Research



Europe

Aerospace & Defence
Aerospace & Defence

Industry
Flight Deck

Date
27 April 2026

Periodical

US Defence: a 44% boost, a watershed moment

Christophe Menard
Research Analyst
+33-1-4495-9315

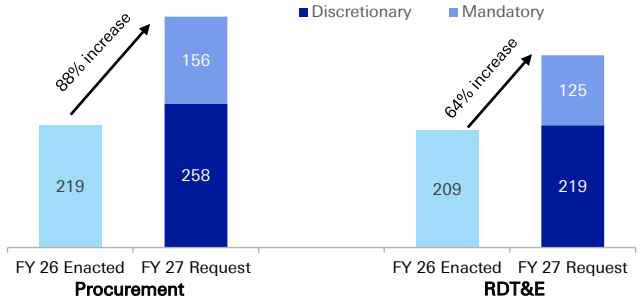
Sriram Krishnan, CFA
Research Analyst
+44-20-7541-0983

Samrudh Agrawal
Research Associate

The $1.5tn FY 27 US defence budget detailed

The Trump administration has put forth a $1.5tn US defence budget for FY27, a 44% increase over the FY26 funding. This includes $1.15tn in discretionary funds and an additional $350bn in mandatory spending through a reconciliation bill. Congress holds the ultimate authority in appropriating these funds. Details of the spending plan were revealed on April 21, indicating that approximately 52% of the total budget is geared to the procurement of munitions, planes, tanks, and ships, with procurement set to rise by 88% and R&D by 64%. Key allocations include $150bn for the Navy, which will prioritize shipbuilding with over $65bn for new vessels like "Trump-class battleships" and next-generation frigates ("Golden Fleet" initiative). The Air Force could receive $101.2bn, with significant investments in unmanned systems under the "drone dominance" initiative and artificial intelligence. The Army's $60.5bn budget focuses on the "Golden Dome" missile defence system, which would receive $17.5bn. Notably, the Space Force's budget is projected to more than double at $75bn, a $40bn increase from FY26. This budget aims to strengthen homeland security, counter Chinese clout, revitalize the defence industrial base, and invest heavily in AI and drone technology. This increased US spending offers opportunities for European defence companies like BAE Systems, Fincantieri, Leonardo, Rheinmetall, and Safran due to their market exposure.

Figure 1: FY 27 Budget request is a 88% increase in procurement over FY26



Source : US Comptroller, Deutsche Bank

Deutsche Bank AG

IMPORTANT RESEARCH DISCLOSURES AND ANALYST CERTIFICATIONS LOCATED IN APPENDIX 1. Deutsche Bank does and seeks to do business with companies covered in its research reports. Thus, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of this report. Investors should consider this report as only a single factor in making their investment decision.

Distributed on: 27/04/2026 04:05:04 GMT



Table Of Contents

Company news of interest....3
Airbus (Buy, PT: €226)....3
BAE Systems (Hold, PT: 2,140p)....6
CSG (Buy, PT: €34)....8
Dassault Aviation (Hold, PT: €330)....8
Fincantieri (Buy, PT: €18.5)....9
Hensoldt (Buy, PT: €101)....10
Leonardo (Buy, PT: €70)....11
MTU Aero Engines (Buy, PT: €428)....12
Renk (Buy, PT: €73)....13
Rolls-Royce (Buy, PT: 1,325p)....13
Safran (Buy, PT: €365)....14
Thales (Hold, PT: €283)....15
TKMS (Buy, PT: €99)....17

From our stable....18
Our recent reports....18
Sector/thematic reports....19

EPS estimate revisions....20
EPS estimate revisions for European A&D stocks....20
EPS estimate revisions for US A&D stocks....20

A&D stock trading multiples....21
Europe A&D trading multiples....21
US A&D trading multiples....23

A&D share price performance....24

A&D sector valuation....25
Valuation table – listed major European A&D companies....25
Valuation table – listed major US A&D companies....26
Absolute and relative share price performance – European A&D stoc....27
Absolute and relative share price performance – US A&D stocks....28

Company news of interest

Below, we provide important sector news items relevant to our coverage universe. We select these stories and present them by company, along with our views.

Airbus (Buy, PT: €226)

China's NDRC Chief Meets Airbus CEO to Discuss Cooperation

China's Commerce Minister, Wang Wentao, has urged Mercedes-Benz and the broader European auto industry to advocate for the revision of what China views as improper, protectionist EU trade rules. Wang stated that these restrictions have negatively impacted China-EU economic ties. In a separate meeting, Wang also called on Airbus CEO Guillaume Faury to foster "win-win cooperation" and play a constructive role in encouraging the EU to resolve differences through dialogue. The Chairman of China's National Development and Reform Commission, Zheng Shanjie, further expressed strong support for Airbus to increase investment and expand its supply chain within China, emphasizing the significant opportunities presented by China's vast aviation market. (Source: Bloomberg)

Our view: *This could bode well for future Chinese orders for Airbus. The declaration is coming, as Boeing hinted on 22 April at a potential large order from China, apparently conditioned on Trump, seen as key to closing major plane orders from Chinese airlines. We see the Chinese declaration as a reaffirmation of its good cooperation with Airbus, hence a positive*

Honeywell Aerospace working through 'acute' problem affecting key suppliers

Honeywell's aerospace business is maintaining its 2026 financial goals despite an "acute setback" from "critical suppliers" that impacted Q1 sales, particularly in January and February. CEO Vimal Kapur stated that the issue, affecting all three segments new equipment sales, aftermarket, and defense, has since been remediated, with improvements noted in March and April. The Aerospace Technologies division experienced temporary constraints from unnamed suppliers in the mechanical space, impacting its engines and control systems businesses. The company expects high-single-digit percentage growth in aerospace sales for the full year and plans to spin off the business into a standalone public firm by June 29. (Source: FlightGlobal)

Our view: *Supply chain issues have been quoted several times on Q1 calls, whether it be the availability of mechanical parts (Thales) or raw materials (Safran). There is also the recurring issue of forged part shortage in engine manufacturing. The bottom line is that we should not take for granted operational efficiencies on the factory floor.*

Airbus to start Neo deliveries with GTF Advantage after June

Airbus anticipates deliveries of A320neo-family jets equipped with the new Pratt & Whitney GTF Advantage engines to commence in the second half of this year, following recent certification. Deliveries are expected to gradually increase until the second half of 2028. Although Pratt & Whitney previously aimed for Advantage-powered aircraft deliveries to Airbus by late 2025 and service entry this year, European Union Aviation Safety Agency (EASA) aircraft-level certification for the A320neo-family jets was disclosed on April 17, preparing the way for production engine deliveries. The GTF Advantage engine is projected to offer 4-8% more take-



off thrust and potentially double the "time on wing" compared to earlier PW1100G variants. (Source: Cirium)

Our view: *This is good news, albeit not coming as a surprise. It is unclear whether this could alleviate the current engine shortage at Airbus and incrementally improve Airbus delivery prospects for the rest of the year.*

Airbus to Buy French Cybersecurity Company Quarkslab

Airbus has announced its agreement to acquire French cybersecurity company Quarkslab as part of its strategy to develop sovereign cybersecurity capabilities in France and strengthen its position in the European cybersecurity sector. This acquisition follows Airbus's 2024 purchase of Infodas in Germany and its plans to acquire Ultra Cyber in the UK. Quarkslab, founded in 2011 with approximately 100 employees, specializes in developing solutions to protect critical assets, data, and users from cyberattacks. The transaction is anticipated to close within 2026. (Source: Bloomberg)

Our view: *We see it as a theoretical positive, but we have no indication on the transaction terms. Airbus is finally re-embracing selected bolt-on M&A to support its activities in Cyber. Talent acquisition via M&A is often the speediest way of adding capabilities, as the company may struggle to build its homegrown population of Cyber engineers.*

Airbus, Radmor, Thales Alenia Team Up for Defense Satellite Project in Poland

France and Poland have announced a joint project to develop a geostationary telecommunications satellite for the Polish military, strengthening economic and defense ties between the two nations. Thales Alenia Space, Airbus Defence and Space, and Poland's RADMOR will collaboratively develop the satellite, a deal announced during French President Emmanuel Macron's meeting with Polish Prime Minister Donald Tusk in Gdansk. While the financial details were not disclosed, this initiative aligns with the European Commission's "Readiness" defense plan to bolster the continent's self-defense capabilities by 2030 and aims to reduce Europe's reliance on external satellite services. The satellite will provide secure military communications for Poland's armed forces, leveraging the companies' expertise in military communication payloads, mission control, satellite platform design, and cybersecurity. This project builds on a previous cooperation treaty between France and Poland, which includes a mutual assistance clause and a commitment to deepen military and technological links. (Source: Reuters)

Our view: *This is positive news. Our understanding is that Thales and Airbus are cooperating on this, independently of the Bromo programme. Radmor is the surprise partner here, but the company is no new entrant to the segment: Radmor is a key component of the WB Group, which is described as the largest private defense corporation in Poland. The WB Group specializes in providing integrated communication and command networks, and other advanced solutions to armed forces globally. WB Electronics, the core of the WB Group, acquired majority stakes in Radmor. Radmor collaborated with Thales even before Poland's accession to NATO and was an early member of the consortium developing the European Secure Software-defined Radio, so the companies know each other well*

Airbus develops new A400M Mothership variant to launch 12 Taurus missiles or 50 drones for long-range strikes

Airbus is transforming the A400M into a stand-off strike platform to launch up to 12 Taurus-class cruise missiles or 50 swarming drones from outside contested airspace, with development underway with an undisclosed European customer. This "mothership concept" utilizes palletized payloads within the aircraft's cargo bay, which is being upgraded from 37 to 40 tonnes maximum capacity. The deployment process, similar to the U.S. Rapid Dragon concept, involves an extraction parachute pulling the pallet out, followed by sequential missile release at subsonic speeds, managed by dedicated software and crew-operated consoles. This operational concept enables a single A400M to deploy 12 missiles per sortie, meaning four A400Ms could deliver 48 missiles in one wave, providing substantial firepower comparable to dedicated strike formations and reducing reliance on fighter jets. The A400M will also function as a command node within a networked strike architecture, supporting various mission sets with future variants including a UAV Mothership, electronic warfare aircraft, and a SATCOM relay aircraft, all leveraging its modular cargo architecture and robust engine power. (Source: Army Recognition)

Our view: *We should support Airbus' attempt to explore alternative missions for the A400M, as the multitude of missions could increase its prospects on the export markets. This is, however, neutral at this stage.*

According to German press reports, final mediation between Dassault Aviation and Airbus has failed

Mediators have reportedly failed to resolve disputes between the companies involved in the Franco-German Future Combat Air System (FCAS) fighter jet project, potentially leading to its scale-back or abandonment. According to German reports, citing sources familiar with the talks, the German mediator will likely conclude that building a joint fighter jet is no longer feasible. German Chancellor Friedrich Merz is expected to meet French President Emmanuel Macron this week in Cyprus, where the project's future may be discussed. The €100 billion project has been stalled by a control dispute between France's Dassault Aviation and Airbus, representing Germany and Spain. Despite efforts by Merz to salvage the program, and Dassault Aviation's CEO giving a two- to three-week deadline for a deal, the ongoing disagreement risks undermining European unity and collaboration in defence, especially amidst external threats and wavering U.S. support. There is a possibility that cooperation will continue on related software, data systems, and drones, even if the joint piloted jet development is abandoned. (Source: Reuters)

Our view: *The next phase presumably consists in making it official that the programme is no longer pursued in its current form, meaning that phase 2 will not be signed and no demonstrator will be built. There will be some negative impact on firms involved in the program, as it means funded R&D on the project will not materialize in 2026-2029. There is a broader read-across to other programs like MGCS or Eurodrone. The latter is already subject to some cancellation by France, while the former could see its entire approach revisited or delayed. If confirmed, the contract termination could cast a negative light on the ability of European defence firms to cooperate, which could, in turn, privilege consortium structures among the "willing" rather than "the best athletes." The bottom line is that it could create some "capability vacuum" in Europe.*

BAE Systems (Hold, PT: 2,140p)

EU leaders to discuss mutual assistance pact amid NATO doubts

European Union leaders are set to discuss the bloc's mutual assistance clause, Article 42.7 of the Treaty on the European Union, at a summit in Cyprus following concerns raised by U.S. President Donald Trump's criticisms of NATO and his threats regarding Greenland. The clause obliges member states to aid a fellow member under armed aggression, but lacks clear implementation rules. The urgency for clarification intensified after a drone strike on a British air base in Cyprus during the Iran war. EU foreign policy chief Kaja Kallas will brief leaders on potential assistance, and scenario-based exercises are planned. While Cyprus, a non-NATO member, advocates for a more defined Article 42.7, some countries are wary of actions that might suggest a pivot away from NATO's Article 5. Latvia, for instance, emphasizes NATO as the "cornerstone of collective defence" and views Article 42.7 as complementary, not a sign of distrust. The clause has only been activated once, by France in 2015, to free up troops for redeployment. (Source: Reuters)

Our view: *This is a more political than operational issue, which is a clear indication, in our view, that the EU is trying to supersede NATO in some of its missions and responsibilities. It is a little bit the same story on defence procurement, where the EU and NATO collide on procurement strategies (Buy European vs. Buy European and American).*

UK reaffirms F-35 commitment, but questions remain over 138

The UK government continues to affirm its commitment to procuring 138 F-35 Lightning aircraft, a figure that remains largely aspirational and lacks a concrete plan for achievement, according to recent parliamentary answers. While Minister of State Luke Pollard reiterated the Ministry of Defence's unchanged position on the 138 aircraft total, he offered vague responses regarding replacing existing jets, deferring to the long-delayed Defence Investment Plan for future decisions. This ambiguity suggests that "138 across the life of the programme" might imply cumulative purchases over decades, with older aircraft being retired and replaced, rather than a simultaneous operational fleet of that size. Currently, 48 F-35B aircraft have been ordered and delivered, with future orders contingent on the unreleased Defence Investment Plan. The UK has committed to at least 74 aircraft, leaving a substantial gap to reach 138. The 2025 Strategic Defence Review further complicated matters by introducing F-35A variants and reducing the second batch F-35B order from 27 to 15, while adding 12 F-35As, thus altering the original single-variant fleet concept. The National Audit Office has noted the absence of an approved timetable for purchases beyond current contracts, highlighting ongoing affordability concerns for reaching 138 F-35s, one of the most expensive tactical combat aircraft in production. (Source: UK Defence Journal)

Our view: *The only positive read-across is that UK Eurofighter aircraft are now likely to fly longer, bolstering BAE's service activities and potentially leading to additional upgrades.*

Government explores private investment to drive defence

The UK government is seeking to leverage private investment to accelerate defense readiness and economic growth, with the Defence Secretary and Chancellor meeting with leaders from banking, venture capital, and strategic finance. A Ministry of Defence-led sprint will examine investment structuring, and the Defence Investors' Advisory Group will be expanded and made permanent, incorporating industry secondees through a new "Defence Finance Zig-Zag

secondment programme" to embed private sector expertise. This initiative aims to attract private capital, support innovators and supply chains, and build defense capabilities, creating jobs and ensuring value for taxpayers. These efforts are complemented by a £20 million fund for accelerated contracts for small, innovative British startups. (Source: UK Defence Journal)

Our view: *This further illustrates the funding shortfall in UK Defence and the need to find alternative sources of financing. This could be a positive if some solution is found.*

Trump's $1.5 trillion defense budget includes $750 billion for ships, jets and Golden Dome

The Pentagon has unveiled President Donald Trump's fiscal year 2027 defense budget request of $1.5 trillion, marking the largest year-over-year increase in the post-World War Two era. This includes a $1.15 trillion funding request and a $350 billion supplemental request, requiring a reconciliation bill. The budget introduces "presidential priorities" focusing on Golden Dome missile defense, drone dominance, artificial intelligence, data infrastructure, and the defense industrial base. Each military branch will see substantial funding increases: Air Force by 33.6%, Navy by 24.3%, and Army by 23.9%, along with service member pay raises from 5% to 7%. Shipbuilding sees over $65 billion allocated for 18 warships and 16 support ships as part of the "Golden Fleet" initiative, the largest request since 1962. Aircraft procurement and R&D receive $102 billion, a 26% increase, including 85 Lockheed Martin F-35s and $6.1 billion for Northrop Grumman's B-21 bomber. The budget represents the largest investment in drone warfare, with $53.6 billion for autonomous drone platforms and logistics, and $21 billion for munitions and counter-drone technologies. The Defense Autonomous Warfare Group's funding will balloon to approximately $54 billion, absorbing the Replicator drone initiative. Notably, the budget omits funding for the conflict with Iran, with Defense Secretary Pete Hegseth indicating a need for approximately $200 billion in supplemental funding for ongoing operations and inventory replenishment. (Source: Reuters, DefenseNews)

Our view: *If voted as presented, the budget increase should be supportive of BAE's sales in 2027 and beyond. There is clearly more certainty on the budget increase achievement now than in January, when conflict de-escalation was more on the agenda. BAE remains the European stock most exposed to US defence spending.*

US Navy 'going to study' possibility of building ships outside US

The U.S. Navy is exploring the concept of utilizing foreign partners for warship manufacturing to address domestic labor capacity issues, according to Navy Secretary John Phelan. Citing successful maintenance, repair, and operations (MRO) work with South Korea and Japan, where South Korean companies have already secured three MRO contracts in 2026 for U.S. Navy ships primarily stationed with the 7th Fleet in Japan, Phelan indicated that "everything's on the table." The Navy also plans to revise contracting methods to incentivize faster work, including offering bonuses to contractors who beat schedules, with a portion to be shared with workers. (Source: DefenseNews)

Our view: *This at least could open extra opportunities for shipyards across the world. It could be a competitive risk to BAE, whose shipyards are US-based and thus be exposed to growing South Korean competition.*

CSG (Buy, PT: €34)

CSG Wins €250 Million Artillery Ammunition Contract

CSG has secured a contract worth nearly €250 million to supply 155 mm long-range artillery ammunition to an undisclosed European customer, with deliveries anticipated to be completed within 10 months. The financing for this project was provided by a Western European country, underscoring collaborative efforts in military procurement. CSG is actively expanding its production capacities to meet the increasing demand for advanced defense solutions, particularly in light of the growing market emphasis on extended-range capabilities for artillery. (Source: Bloomberg)

Our view: *This is good news for CSG, but the release is scarce on detail. The contract financing via a Western European country does not say whether the ammunition is intended to be delivered to that very country or to another country like Ukraine. In any case, the company continues on its winning streak of booking orders, after having booked another €300 million order for ammunition mid-April, and its Excalibur subsidiary secured $2.5 billion in Air Defence Contracts in Southeast Asia earlier in April.*

Dassault Aviation (Hold, PT: €330)

Russia warns European states against hosting French nuclear bomber planes

Russia has warned that any European nation hosting French nuclear-capable strategic bombers would become a target for Moscow in the event of a conflict. This warning follows French President Emmanuel Macron's plans to expand France's nuclear arsenal and allow European partners to temporarily deploy its nuclear-capable aircraft. Russian Deputy Foreign Minister Alexander Grushko stated that such deployments by countries like Britain, Germany, Poland, the Netherlands, Belgium, Greece, Sweden, and Denmark, represent an "uncontrolled build-up" of NATO's nuclear potential, posing a strategic threat to Russia and effectively weakening the security of these nations. Macron's initiative aims to enhance European defense capabilities and reduce reliance on the U.S. amid criticisms from President Donald Trump. Grushko also emphasized that future nuclear arms dialogues must consider the combined capabilities of NATO, including French, British, and U.S. arsenals. (Source: Reuters)

Our view: *Sharing the French nuclear deterrent with other European nations remains a thorny and debated issue in France, so the plan is not considered effective yet. Russia's positioning demonstrates some expected escalation in the rhetoric, however.*

FCAS Project Gets Ten-Day Extension Amid Franco-German Disagreements, with Airbus saying fighters can be carved out of FCAS

The Future Combat Air System (FCAS) project, aimed at replacing the Rafale and Eurofighter by 2040, has been granted a 10-day extension until April 28th to resolve ongoing Franco-German differences, as confirmed by French Armed Forces Minister Catherine Vautrin. Dassault and Airbus are currently disputing control of the project. German sentiment over the weekend suggested the project was almost dead due to divergences. Volker Mayer-Lay, a German Bundestag rapporteur, indicated that if the mediation doesn't yield viable results, the Future Combat Air System (FCAS) as conceived will have failed. In contrast, the French Directorate General of Armaments stated that mediation was continuing. German Chancellor



Friedrich Merz has framed the project, initially announced by Emmanuel Macron and Angela Merkel in 2017, as a matter of principle to avoid future accusations of Germany undermining European defense efforts. A final arbitration from both heads of state was initially anticipated at an informal meeting of European leaders in Cyprus this week. However, no party wants to be seen as undermining European defense, especially with ongoing questions about the transatlantic alliance and conflict in Europe. Separately and as reported by Reuters, Airbus' military division chief, Michael Schoellhorn, emphasized at a recent trade show that Europe must prioritize building a networked "combat cloud" to link fighters, even if it means the FCAS utilizes different aircraft. Schoellhorn reiterated Airbus' stance against being a subordinate supplier in a French-led program, advocating for a balanced industrial partnership. He suggested that if a balanced partnership isn't achievable, the fighter element of FCAS could be separated, potentially leading to Europe fielding multiple next-generation manned or optionally manned aircraft (Source: Les Echos, Reuters)

Our view: *It is obvious that cancelling FCAS is a heavy political decision, hence the 10-year extension granted. A solution based on two fighter programs could be acceptable, to some extent. Rafale F5 will end up providing part of the capabilities by 2035.*

Fincantieri (Buy, PT: €18.5)

Fincantieri to lead the upgrade of PPA ships to the Full Combat System configuration

Fincantieri, alongside Leonardo, signed a Contractual Integration to the PPA - Multipurpose Combat Ship program, valued at approximately €62 million for Fincantieri's share, to upgrade PPA-class vessels to the "Full Combat System" configuration. This agreement, signed with OCCAR-EA, will implement necessary adaptations for both delivered and under-construction units, enabling them to evolve from "Light" and "Light Plus" configurations and incorporate advanced cyber defense capabilities. The PPA program features highly flexible vessels designed for diverse missions, from patrol to combat, with a scalable combat system. (Source: Naval News)

Our view: *This is modestly positive news for Fincantieri. While it leads the upgrade effort of the PPA vessels and the overall upgrade is expected to cost €392m, Fincantieri's share of the contribution is only €62m. The contract is awarded through OCCAR as most of the shipbuilding projects for Italy are handled through OCCAR, enabling commonality across its members if needed.*

Fincantieri to build a new class of High-Speed Unmanned Surface Vessel

Fincantieri, through its U.S. subsidiary Fincantieri Marine Group (FMG), is collaborating with Saildrone to build "Spectre," a new class of high-speed, multi-mission unmanned surface vessels (USVs). This partnership, announced at the Navy League's Sea-Air-Space exhibition, signifies Fincantieri's strategic move to integrate unmanned solutions into its defense portfolio, leveraging its shipbuilding expertise and production capacity at its Wisconsin shipyards. Spectre, approximately 52 meters long with a 250-ton displacement and a top speed of 30 knots, is Saildrone's largest, fastest, and most capable platform to date, optimized for anti-submarine warfare with extreme endurance and an ultra-quiet acoustic signature, while also adaptable for alternative missions. (Source: Company)



Our view: *This is neutral news. It is good for Fincantieri to expand its product offerings into the unmanned vessels in the US, which is keen to acquire production-ready USVs. However, it is a competitive landscape with at least four other players already established in the US. With this tie-up Fincantieri brings in industrial capacity and scale, while Saildrone brings the technology.*

Hensoldt (Buy, PT: €101)

Germany unveils strategy for becoming Europe's strongest military by 2039

Germany has unveiled a comprehensive overhaul of its Bundeswehr planning, encompassing its first standalone military strategy, a new capability profile, a personnel growth plan, and a redesigned reserve strategy. Defense Minister Boris Pistorius presented these "living documents," which will serve as the strategic foundation for the next 20 years, identifying Russia as the primary threat and adopting a "one theater approach" to security. The capability profile shifts from rigid hardware quotas to an effects-based planning model, prioritizing deep precision strike, air defense against hypersonic missiles, and drone capabilities. The personnel growth plan aims to expand active-duty soldiers from 185,420 to 260,000 by the mid-2030s, and increase assigned reservists from 60,000 to at least 200,000, reaching a combined total of 460,000 combat-ready troops, with conscription as a fallback if recruitment targets are missed. The "Entbürokratisierungs- und Modernisierungsagenda 2026 (EMA26)" includes 153 measures to cut bureaucracy, digitize workflows, and deploy AI. Despite these ambitious timetables, Pistorius acknowledged challenges such as compressed global production capacity for air defense systems due to surging Middle Eastern demand. (Source: DefenseNews)

Our view: *It is good to have a defense strategy, and it goes in the right direction. The good news, however, is that the procurement decisions preceded the release of the strategy, hence no lag here. The 460,000 combat-ready troops sound like a challenge, however.*

Hensoldt to supply Highly Mobile Drone Defence Systems to the German Federal Police

Hensoldt has been contracted by the German Federal Police to supply highly mobile and rapidly deployable detection and verification vehicles against unmanned aircraft systems (c-UAS vehicles). These vehicles will significantly enhance the police's capabilities to safely detect, verify, and, if necessary, defend against drones threatening sensitive or critical infrastructure. The self-sufficient vehicles feature an operator station and various mission-specific sensors and effectors, integrated or deployed separately, with Hensoldt's Elysion Mission Core software at their heart. This software fuses real-time sensor data, providing a comprehensive situational picture and enabling quick responses to threats, while also integrating data from other networked systems for airspace security. As the general contractor, Hensoldt's c-UAS team is responsible for integrating the IT, including Elysion, sensors, and effectors into the vehicles, which are being assembled by a specialized partner. (Source: ASDNews)

Our view: *This is a practical demonstration of Hensoldt's fast time to market on its range of products based on SDD (Software Defined Defence).*

Leonardo (Buy, PT: €70)

Ethiopian Airlines buying six more Boeing 787-9 airplanes

Ethiopian Airlines has firmed up its commitment to expanding its long-haul network by exercising options for six additional Boeing 787-9 Dreamliners, fulfilling commitments announced at the 2023 Dubai Airshow. This strategic move highlights the airline's sustainable growth trajectory and aims to enhance operational excellence and passenger comfort. With this latest order, Ethiopian Airlines' future fleet will include 26 787-9s, alongside its existing 9 in-service 787-9s and 19 787-8 variants which are a mix of GEnx and Trent engines. (Source: Cirium)

Our view: *This is neutral to Airbus. This could be a positive for Rolls-Royce, if the decision is made in favor of the Trent 1000 XE.*

Indra to make Spanish variant of amphibious vehicle used by US Marines

Indra has partnered with Italy's IDV, which Leonardo recently bought, to be the lead integrator for Spain's acquisition of 34 Amphibious Combat Vehicles (VACIM), which are currently in use by the U.S. Marine Corps. Indra will integrate various mission systems onto IDV's SUPERAV 8x8 platforms for the Spanish Ministry of Defence. IDV, the design authority and intellectual property owner, initially teamed with BAE Systems to supply the SuperAv to the U.S. Marines, with first deliveries in late 2020. The Italian military subsequently became the second customer, ordering 36 vehicles in 2022, with a potential increase to 64. (Source: DefenseNews)

Our view: *This is a positive for Leonardo, but part of the business plan. We are talking here about the non-US version of the ACV supplied by BAE Systems to the US Marines: In 2011, IDV partnered with BAE Systems to offer a modified version of the SuperAV to the United States Marine Corps (USMC) for their Amphibious Combat Vehicle (ACV) program. BAE Systems was selected as the prime contractor for the ACV program, hence the SuperAV, when supplied to the U.S. Marines through the BAE Systems partnership, is known as the Amphibious Combat Vehicle (ACV) .*

US Approves Possible FMS of AEGIS/SPY-6 Package to Germany

Germany has secured U.S. approval for an $11.9 billion purchase of eight AEGIS/SPY-6 AAW suites, enhancing its naval capabilities with a focus on air-warfare and ballistic missile defense. This acquisition, which includes eight shipsets each of AEGIS-based Integrated Combat Systems, AN/SPY-6(V)1 S-Band radars, and MK 41 Vertical Launch Systems, will equip eight future F127 frigates, increasing their magazine depth to 96 cells and replacing the current European-developed AAW suite on the Sachsen-class frigates. The deal also includes a transition from the European Leonardo 127 mm main gun to the American Mk 45, and the acquisition of Mk 38 Mod 4 30 mm RWS for improved self-defense against drone threats. With principal contractors Lockheed Martin and RTX Corporation, and Mitsubishi Electric supplying components for the SPY-6 radar, the F127 frigates are expected to enter service from the mid-2030s, significantly bolstering Germany's maritime defense and interoperability with U.S. and NATO forces. (Source: Naval News)

Our view: *This is neutral to TKMS as the selection of Raytheon radars and other US systems was already announced few months back and today's news only officially clears the export from the US government. Interestingly, the $12bn contract clearance reiterates our view that the F-127's overall contract value will be nearly €25bn, which is encouraging (NVL has a 33% programme share)*

MTU Aero Engines (Buy, PT: €428)

Raytheon announces Q1 results, P&W spent $100 million to boost geared turbofan maintenance output

Pratt & Whitney (P&W) Q1 26 sales were up 11% versus the prior year, driven by a 19% increase in commercial aftermarket (GTF up 23%) and a 7% increase in military, partially offset by a 1% decrease in commercial OE. The increase in commercial aftermarket was driven by higher volume, while the increase in military sales was driven by higher F135 production volume. The decrease in commercial OE sales was driven by lower engine deliveries. Pratt & Whitney has also invested $100m in the past year to expand its PW1000G geared turbofan (GTF) maintenance and aftermarket operations across three U.S. sites in Arkansas, Florida, and Texas, aiming to accelerate repair processes amidst high demand driven by engine durability issues. The GTF program's fleet management plan remains on track. PW1100 Aircraft on Ground (AOGs) were down approximately 15% compared to the end of last year. This reduction is primarily attributed to the 23% year-over-year increase in MRO output for the PW1100, building on a 35% growth observed in Q1 of the previous year. Pratt & Whitney will continue to optimize material allocation between Original Equipment (OE) and aftermarket to ensure fleet health and meet customer needs. Discussions with Airbus regarding an agreement are ongoing, and OE deliveries are expected to increase throughout the rest of the year. On the OE front, GTF shipments in Q1 were in line with expectations, and mid- to high-single-digit delivery growth is anticipated for the full year. P&W currently powers about 45% of A320 deliveries, surpassing its roughly 40% sold program share. P&W does not foresee significant impact from engine retirements, as the V2500 and GTF constitute the two largest portions of its aftermarket business. The V2500 fleet is considered very young, with only 1-2% of the fleet expected to be retired. Shop visits are projected to remain strong throughout the year, with approximately 800 expected. The PW2000 is not a major aftermarket driver, and P&W is planning for lower PW4000 volumes. GTF MRO inductions are on the rise, up 7% sequentially, driven by increases in forging (up 18%) and castings (up 10%). (Source: Company, FlightGlobal)

Our view: *P&W is a peer to MTU, and they are partners on some commercial engines. The P&W Q1 results point to slightly better figures for MTU in MRO, as consensus expected approximately 16% growth in MTU's MRO (Pratt at 19%), despite slight differences in the product portfolio. In addition, comments made on engine retirements are relatively reassuring for the aftermarket. There were limited comments on the ongoing dispute with Airbus over OE engine deliveries, but no indication that the situation has materially changed or an agreement has been found. Q1 is understood to have reached the trough in engine deliveries to Airbus.*

GTF Advantage engine certified by European authorities

RTX announced that the European Union Aviation Safety Agency (EASA) has approved its GTF Advantage engine for installation in the Airbus A320neo family aircraft. This engine, offers 4% to 8% more take-off thrust, leading to increased payload capacity and longer range. This development caters to airlines' growing demand for more fuel-efficient aircraft with extended range, driven by cost reduction, emissions targets, and the desire to serve longer routes with narrowbody jets. The GTF Advantage is fully interchangeable with Pratt & Whitney's current GTF model and is expected to become the production standard, with the older GTF version being phased out by 2028. This approval follows the U.S. Federal Aviation Administration's certification in February 2025. The GTF Advantage's introduction comes as Pratt & Whitney addresses manufacturing

issues that grounded over a thousand aircraft, leading to delays for the updated engine which was originally announced in 2021 and expected to enter service in 2024. (Source: Reuters)

Our view: *This is neutral in that the news was expected, post the FAA certification. It is now key that Pratt manages to ramp up production of the GTF-A.*

Renk (Buy, PT: €73)

Renk Gets Contract to Supply Parts for Unmanned Naval Systems

Renk has received a commission from an international customer to supply propulsion components for an unmanned surface vessel destined for a NATO state. The contract involves delivering a system package in August, which will include electric motors, couplings, and transmissions for the vessel's construction. (Source: Bloomberg)

Our view: *This is good news for the M&I division, as unmanned platforms have increasingly been the focus of attention at VMS, but less so at M&I.*

Rolls-Royce (Buy, PT: 1,325p)

Australian Defence Strategy 2026 Spends Big On Submarines, Frigates

Australia's recently published National Defence Strategy (NDS) and Integrated Investment Program (IIP) reveal a significant upward trend in defense spending, projected to nearly double by FY2035, with acquisitions' proportional share increasing from one-third to almost half of the total budget. AUKUS Pillar 1, focusing on nuclear-powered submarines, is the largest expenditure, with planned investments increasing from A$53-63 billion to A$71-96 billion. Expenditure for new general-purpose frigates, now contracted with Japan for the "Upgraded Mogami" (06FFM), will rise from A$7-10 billion to A$15-20 billion by FY2035. The Collins-class submarine life extension program also sees a significant increase from A$4-5 billion to A$7.8-11 billion. While uncrewed capabilities like the Ghost Shark drone received a A$1.7 billion funding endorsement, overall spending on "subsea warfare and uncrewed maritime systems" is set to decrease from A$5.2-7.2 billion to A$4.8-5.8 billion. Mine warfare, despite its growing relevance, receives no additional funding beyond existing efforts. The Royal Australian Navy will receive the lion's share of long-range strike spending, up to A$17 billion for Tomahawk and NSM missiles, significantly more than the Australian Air Force's A $1.5 billion. (Source: Naval News)

Our view: *Given the emphasis on submarines, this should be read as a positive for Rolls-Royce and BAE Systems.*

EU to push for jet fuel diversification as Iran war threatens supply, Europe faces summer flight cancellations from shortage

The European Union is set to release new guidelines next week, urging member states to reduce their dependence on Middle Eastern jet fuel and increase imports from the U.S., as the Iran war severely disrupts global supply chains. These plans, still being finalized, will emphasize self-sufficiency and resilience, promoting Sustainable Aviation Fuel (SAF) and synthetic fuels. Europe is particularly vulnerable to jet fuel shortages, importing 30%-40% of its supply, with over half originating from the Middle East. Although the Strait of Hormuz was reopened after a ceasefire, uncertainty persists, prompting concerns from European airlines about

potential flight cancellations starting in late May, impacting the summer travel season. The EU's non-binding recommendations will address domestic production limitations, provide guidance on managing shortages, and clarify conditions for airline compensation in case of cancellations, though calls for changes to the Emissions Trading System (ETS) and SAF allowances have been rejected. The Commission also plans to map refining capacity and ensure existing infrastructure is fully utilized, while exploring increased use of U.S. Jet A fuel and acknowledging rising imports from the U.S. and Nigeria. The International Energy Agency forecasts jet fuel shortages by June if only half of the Middle Eastern supply can be replaced, with some airports warning of shortages within three weeks if the Strait of Hormuz faces further disruptions. (Source: Reuters)

Our view: *This is key to keep European air traffic alive. Remediation needs to be found to make sure that jet fuel is still available. If the situation persists in the Middle East, Europe will have to durably change its procurement methodology, which could result in lasting higher prices. The only comfort is that planes could be kept flying.*

Safran (Buy, PT: €365)

DOT inspector raises concern about FAA's response to Leap engine smoke incidents

A recent report by the US Department of Transportation's (DOT) Office of Inspector General has criticized the Federal Aviation Administration's (FAA) response to a recurring issue with Boeing 737 Max aircraft, where engine-related smoke can fill cabins or cockpits. This issue stems from CFM International Leap turbofans, specifically Leap-1B engines, and is triggered by "load reduction device" (LRD) activations following events like bird strikes, causing oil to spill onto hot engine sections and generate smoke. While the FAA followed its own procedures, the DOT report argues for a more proactive approach, particularly regarding the prolonged 3.6-year timeline for a software update to address the problem. This update, aimed at closing a Leap-1B valve after LRD activation to minimize fumes, is not expected to be fully installed across the fleet until mid-2028, according to DOT estimates. The report highlights potential risks to the flying public due to this delay and recommends further actions, including notifying operators of delays, ensuring new pilots understand LRD risks, and assisting airlines with pilot training for limited cockpit visibility. Both GE and the FAA have indicated they are working to address the recommendations. (Source: FlightGlobal)

Our view: *This is a potential negative for Safran, as the issue of toxic fumes leaking into the cabin has become "ultra-sensitive" in the US. This could urge CFM to act promptly to address the potential reputational risk*

Boeing sees no signs of Middle East hesitancy over aircraft deliveries, Trump key to closing major plane order from Chinese airlines

Despite ongoing Middle East tensions, Boeing has not yet experienced any commercial aircraft delivery impacts, with CEO Kelly Ortberg stating that deliveries to the region continued in Q1, and no deferral requests have been received from Middle Eastern customers. The company notes that 14% of its backlog is in the Middle East, with two-thirds of those deliveries scheduled for 2030 and beyond, providing a cushion against near-term volatility. Boeing is monitoring the aftermarket for potential knock-on effects from elevated jet fuel prices. Separately, Ortberg indicated that a significant new order from China, potentially involving 500 737 MAX jets, is contingent on support from the Trump administration to address

Chinese airlines' concerns about critical spare parts access. In terms of production, Boeing is increasing 737 output from 42 to 47 jets per month this summer and plans to open a new North Line in Everett, Washington, aiming for 52 jets per month by early next year, with the new line primarily focusing on the MAX 10. (Source: FlightGlobal, Reuters)

Our view: *The message is reassuring on aircraft demand and echoes what Safran stated on its conference call.*

Thales (Hold, PT: €283)

Naval Group is preparing to sell two Gowind 2500 corvettes to Croatia

Croatia intends to invest up to €1.6 billion to acquire two new corvettes for Adriatic Sea surveillance, including crew training, associated munitions, and through-life support. Of 17 potential manufacturers, 12 responded to Zagreb's request for information. Spain's Navantia is pitching its Avante 2200 corvette, seeking local partnerships to share technology and create supply chain opportunities. However, France's Naval Group has taken a significant lead, signing multiple memorandums of understanding with local entities. These agreements propose building and equipping the two corvettes in Croatia, representing 1.5 to 2 million man-hours of work, and ensuring local industry handles their operational maintenance. Naval Group's offer involves the Gowind 2500 corvettes, which, according to Croatian military expert Matija Blaće, are well-suited due to strong anti-submarine and air defense capabilities, including SETIS combat system, VL Mica surface-to-air missiles, Exocet MM40 Block 3 anti-ship missiles, and associated sonars and helicopter. South Korea's HD Hyundai, with its HDC-3100 corvette, is also a strong contender, aiming to use Croatia as a strategic entry point into the European market. (Source: Opex360)

Our view: *This is neutral, as it's too early to tell the outcome of the competition*.

Denmark chooses SAMP/T NG, Europe's Patriot rival for air defence system

Denmark has become the first export customer for the Franco-Italian SAMP/T NG air defense system, with a €1.46 billion order for four systems. The contract was discreetly signed in late March, following Denmark's selection of the SAMP/T NG in September 2025 over six other candidates, including the US Patriot system. Deliveries of the systems, which include Thales' Ground Fire radar with a 400 km range and Aster missiles, are scheduled to begin in 2028. This deal marks a significant export milestone for the SAMP/T, operational since 2011, and aligns with Europe's goal to reduce reliance on US defense suppliers and bolster indigenous capabilities, as highlighted by the European Commission's ReArm Europe plan. Denmark joins France and Italy as operators of the SAMP/T NG, which is designed to intercept ballistic missiles, cruise missiles, and aircraft. (Source: La Tribune, Reuters)

Our view: *The order was made public in the Thales Q1 release on April 21st. The €1.46 billion order amount is a new element, however. The other positive element is the earlier availability of the system compared to the US Patriot, which could make for extra export contracts. Thales did not comment on commercial prospects on their call, but expectations are that additional orders could be signed, with Turkey and Switzerland considering the system. SAMP/T NG is also part of the Skydefender protection dome presented by Thales.*

Thales Vies for Air Traffic Management AI Tool Contract with US Government

The US Federal Aviation Administration (FAA) has enlisted Palantir, Thales, and Air Space Intelligence Inc. to develop a new artificial intelligence (AI) tool for air traffic management. This initiative is part of a broader effort to modernize the nation's aging air traffic control system, aiming to enhance safety and reduce technology outages. The FAA, which has received $12.5 billion from Congress for this project and estimates needing an additional $20 billion, plans to use this cloud-based AI system to predict air traffic flows, adjust departure times to resolve conflicts, and alert air traffic controllers about potential close encounters between planes. Transportation Secretary Sean Duffy highlighted the project's potential to identify congestion periods and implement preventative measures. (Source: Bloomberg)

Our view: *This is positive news for Thales to be shortlisted as a supplier of choice for the US ATM, especially as key established competitors such as Indra, Raytheon, or Frequentis are not listed here. The flip side is that it is up against US firms that are less experienced in Air Traffic Management but are well known for their software-based approach and their prominence in AI, hence there is no certainty on the bidding outcome. Thales has a history of working with the FAA, including a contract in March 2020 (with Leidos Holdings, Inc.) to supply up to 142 secondary surveillance radars for the Mode S Beacon Replacement System. They have also partnered with NASA on Unmanned Aircraft Systems (UAS) traffic management (UTM).*

Ukraine pushes for Europe to build defense system against ballistic weapons

Ukrainian President Volodymyr Zelenskiy announced on 19 April that Europe needs to establish its own ballistic missile defense system, revealing that Ukraine is already in discussions with several countries to facilitate its creation. Zelenskiy emphasized that defending against ballistic missiles is a primary challenge for Ukraine in its conflict with Russia, as only specific Patriot missile types can intercept Russian ballistic threats, which are frequently used to target energy infrastructure. He declared the goal of building an independent anti-ballistic missile defense system within a year, acknowledging its difficulty but affirming its realism, and mentioned discussions with key European nations without naming them. This initiative aligns with efforts to find alternatives to the increasingly scarce Patriot systems; Fire Point, maker of Ukraine's Flamingo cruise missile, has already initiated talks with European companies to develop a new, low-cost air defense system by next year. The current Patriot scarcity is exacerbated by extensive deployments in the Gulf against Iranian attacks, and Europe's only indigenous anti-ballistic system, the Italo-French SAMP/T, is produced in limited quantities. (Source: Reuters)

Our view: *Ukraine is positioning itself as a potential provider of disruptive defense solutions, addressing European capability shortfalls in areas as diversified as air defense and UAVs. In this very case, the Ukrainian proposal would compete with SAMP/T NG, presumably playing up its capability to deliver missiles more efficiently. This could be seen as a negative for established defense players (Thales, Leonardo, BAE Systems), as Ukrainian firms may emerge as challengers.*

TKMS (Buy, PT: €99)

Germany expects to sign submarine deal with India 'soon'

Germany is poised to sign a final $8 billion submarine cooperation agreement with India within the next three months, according to Defense Minister Boris Pistorius. This deal, months in the making, involves German warship manufacturer TKMS and India's Mazagon Dock Shipbuilders. (Source: Reuters)

Our view: *This is positive on headline level, it is largely neutral news in reality. While the German minister expects the contract to be signed by June 2026, we were already expecting it to be completed by March-April. The value of the deal is pegged between €8-9bn. But we do not yet bake in any financial contribution from this contract in our forecast.*

Brazil to order four more F200 frigates

German press has reported that an agreement has been reached between Germany and Brazilian defence ministers for the procurement of up to four more Tamandaré-class frigates for the Brazilian Navy. Construction of this second batch of ships will be carried out in Brazil by Águas Azuis a joint venture of TKMS, Embraer Defence & Security, and Atech – where the four frigates of the first batch are already under construction. (Source: Hartpunkt)

Our view: *This is clearly positive news for TKMS. The original order for four F200, which are based on TKMS MEKO A-100 type ships, was in 2020 at a value of €2bn. Value for these additional four more ships could be slightly higher factoring in for inflation. The order is yet to be signed and deliveries are expected to be in 2029 and beyond, a boost to Surface vessels division. Obviously, there are no execution risks and additional shipbuilding capacity is also not needed as they will be built in Brazil.*

From our stable

Below, we share links to some of our most recent and important publications on individual companies and the sector, for ease of reference.

Our recent reports

Thales: An encouraging Q1 for Defence (23 April 2026)

Renk AG: Q1 preview : VMS seen as driving Q1 performance (23 April 2026)

Safran: Q1 sales : a 4% beat to expectations, FY26 guidance re-confirmed (23 April 2026)

Theon International: Platforms - the next growth engine (23 April 2026)

Thales: Q1-26 sales: a beat on sales driven by Defence, Cyber still lagging (21 April 2026)

Airbus: Q1 results expected to reflect lackluster deliveries (15 April 2026)

Hensoldt: Solid Q1 in sight , with orders seen surging (15 April 2026)

Exosens: Q1 preview and TP upgrade (15 April 2026)

MTU Aero Engines: Q1 preview: no surprise expected, with no Middle East impact yet (10 April 2026)

Thales: Q1 order and sales not seen deviating from FY26 guidance (10 April 2026)

Airbus: Q1 deliveries at a trough (9 April 2026)

Safran: A resilient profile, with a solid Q1 ahead (8 April 2026)

Leonardo: Q1-26 Preview: Aligned or above FY26 targets (2 April 2026)

Scenario analysis : What if the US exits NATO? (1 April 2026)

CSG: Ammo+ weakness (30 March 2026)

Fincantieri: Good margin of safety (26 March 2026)

Leonardo: Improved visibility on cheaper valuation. Upgrade to Buy (25 March 2026)

Airbus: Sell-side dinner feedback (19 March 2026)

CSG: Monetizing Ammunition demand (13 March 2026)

Leonardo: Industrial plan update: our first take (12 March 2026)

Sector/thematic reports

Aerospace and Defence: European A&D – 2026 outlook (13 January 2026)

European A&D – 2025 outlook (17 December 2024)

Flight quarters: Q1 24 – Back to the top (22 January 2024)

European A&D – 2024 outlook (8 December 2023)

European Defence: Lessons from Ukraine(12 April 2022)

Commercial Aerospace: No (jet)lag in competition (24 June 2021)

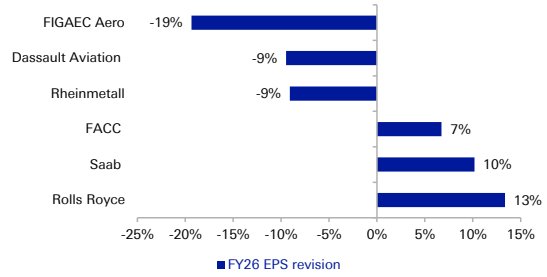
Aerospace & Defence: The Time is Now – Initiating on EU A&D with a constructive stance (10 February 2021)

EPS estimate revisions

EPS estimate revisions for European A&D stocks

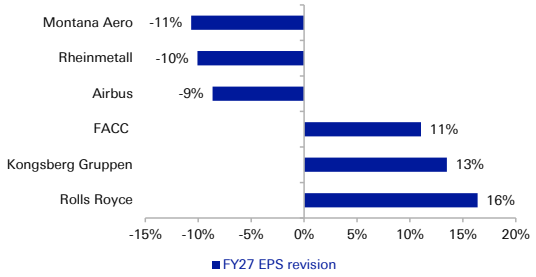
Below, we provide the top three upward and top three downward revisions to consensus EPS expectations for the European Aerospace & Defence names since the start of 2026.

Figure 2: FY26E EPS change



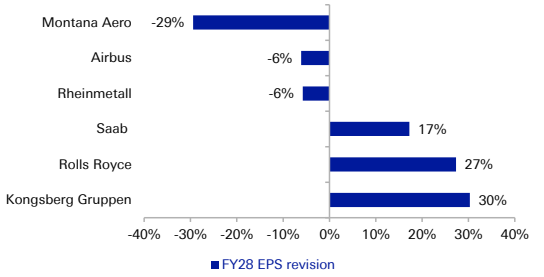
Source : Deutsche Bank, Bloomberg Finance LP for non-covered companies

Figure 3: FY27E EPS change



Source : Deutsche Bank, Bloomberg Finance LP

Figure 4: FY28E EPS change

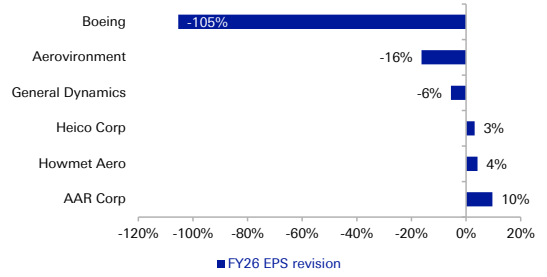


Source : Deutsche Bank, Bloomberg Finance LP

EPS estimate revisions for US A&D stocks

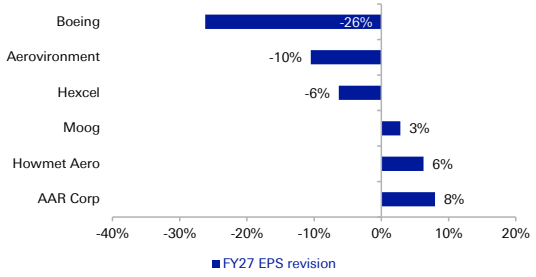
Below, we provide the top three upward and top three downward revisions to consensus EPS expectations for the US Aerospace names since the start of 2026.

Figure 5: FY26E EPS change



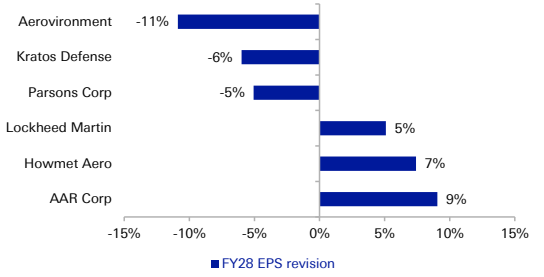
Source : Deutsche Bank, Bloomberg Finance LP

Figure 6: FY27E EPS change



Source : Deutsche Bank, Bloomberg Finance LP

Figure 7: FY28E EPS change

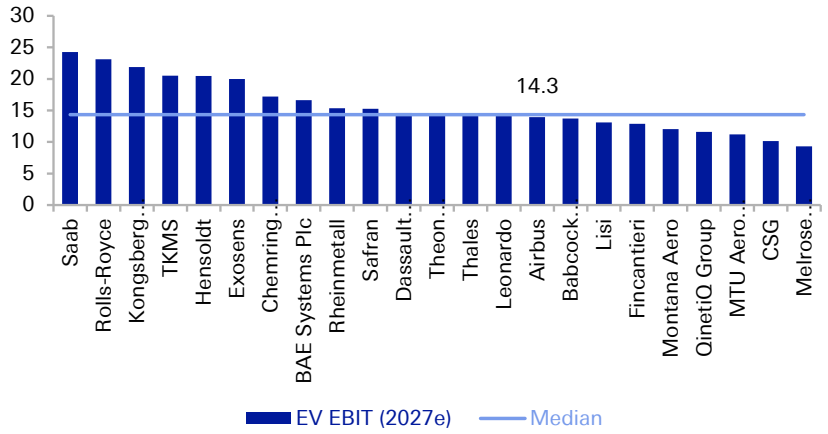


Source : Deutsche Bank, Bloomberg Finance LP

A&D stock trading multiples

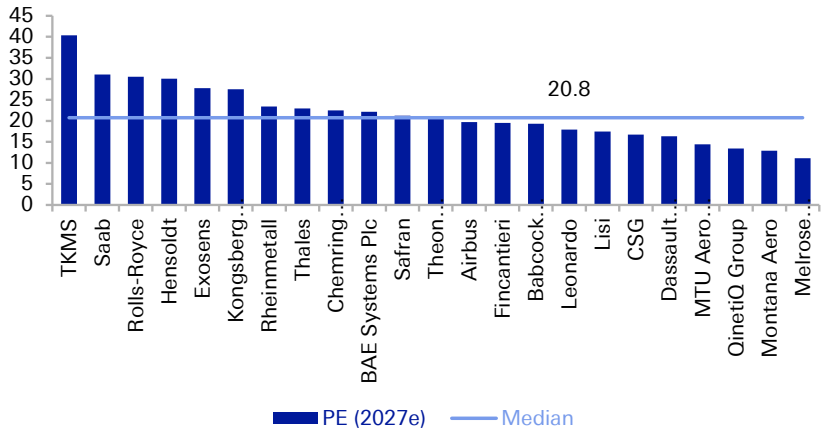
Europe A&D trading multiples

Figure 8: EV/EBIT multiples (FY27E)



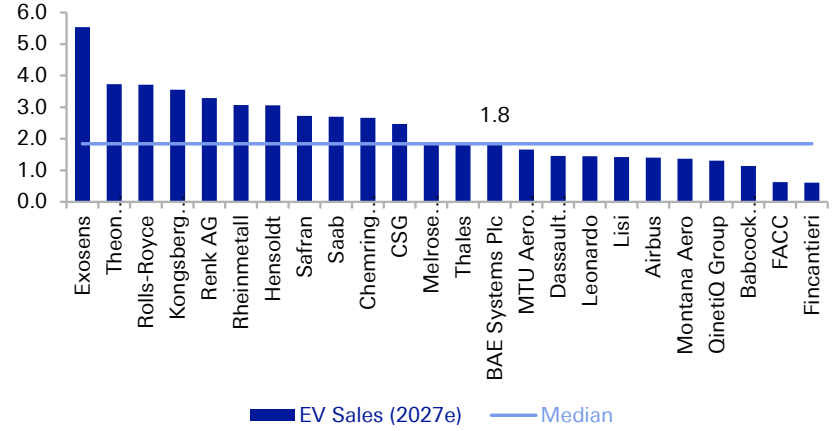
Source : Deutsche Bank, Bloomberg Finance LP for non-covered companies

Figure 9: P/E multiples (FY27E)



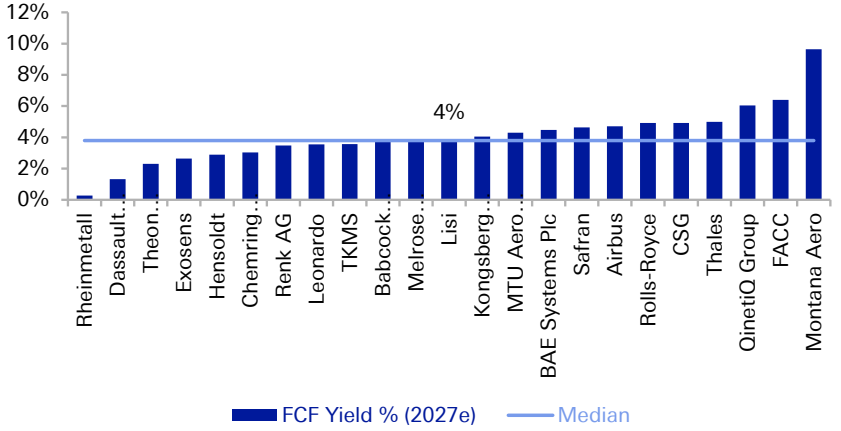
Source : Deutsche Bank, Bloomberg Finance LP for non-covered companies

Figure 10: EV/sales multiples (FY27E)



Source : Deutsche Bank, Bloomberg Finance LP for non-covered companies

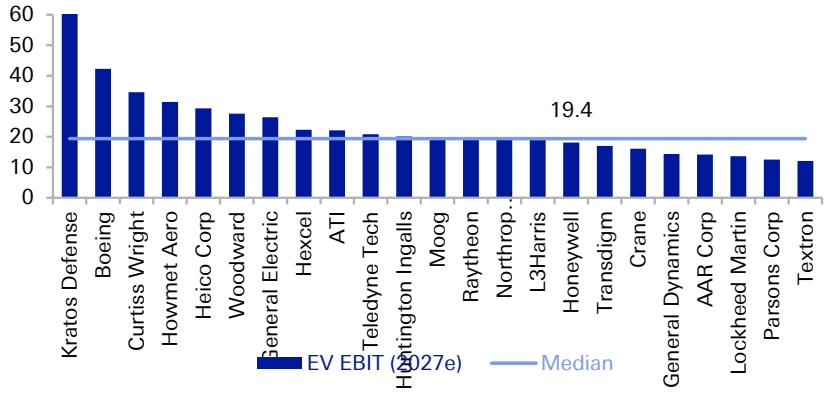
Figure 11: FCF yield % (FY27E)



Source : Deutsche Bank, Bloomberg Finance LP for non-covered companies

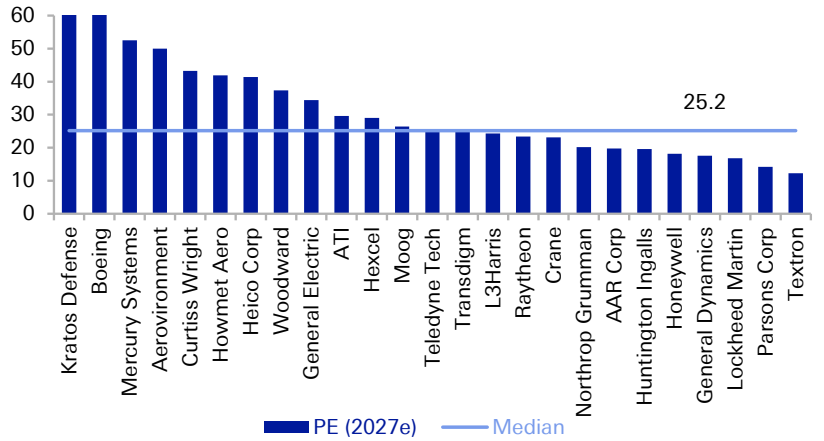
US A&D trading multiples

Figure 12: EV/EBIT multiples (FY27E)



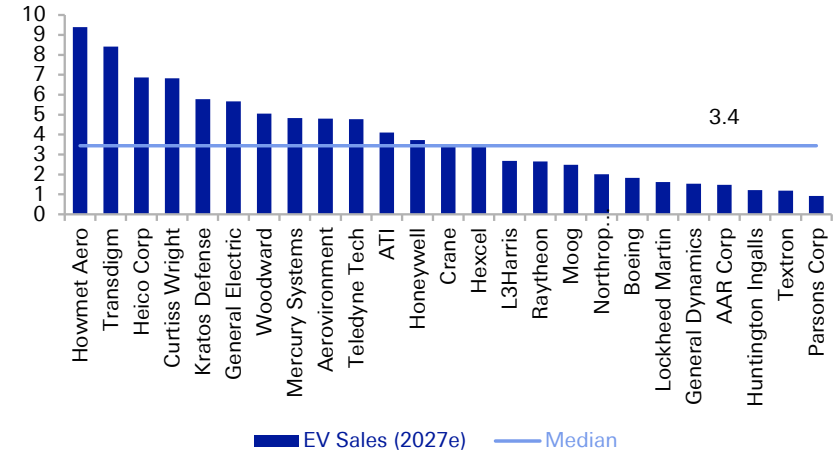
Source : Deutsche Bank, Bloomberg Finance LP for non-covered companies

Figure 13: P/E multiples (FY27E)



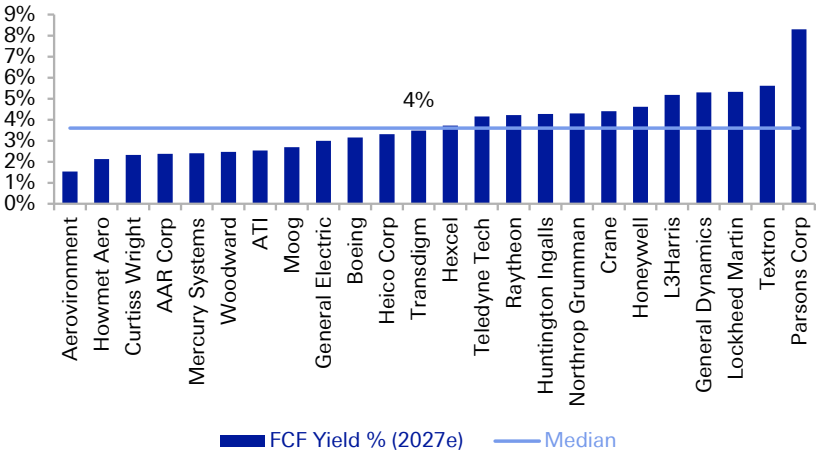
Source : Deutsche Bank, Bloomberg Finance LP for non-covered companies

Figure 14: EV/sales multiples (FY27E)



Source : Deutsche Bank, Bloomberg Finance LP for non-covered companies

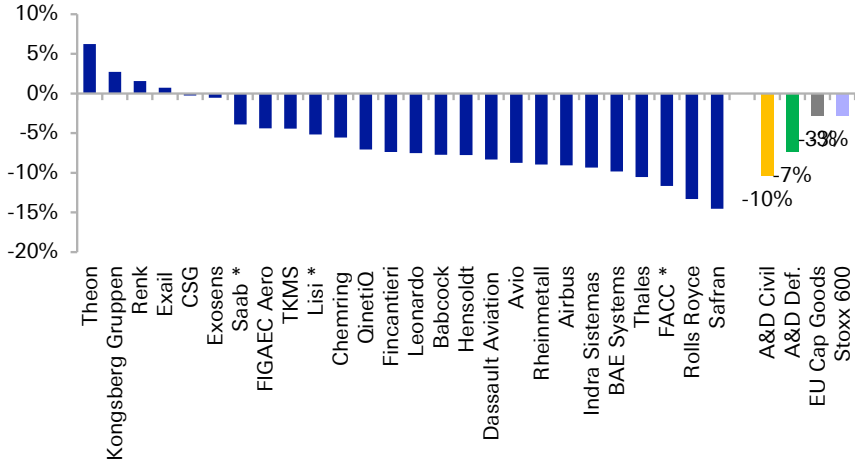
Figure 15: FCF yield % (FY27E)



Source : Deutsche Bank, Bloomberg Finance LP for non-covered companies

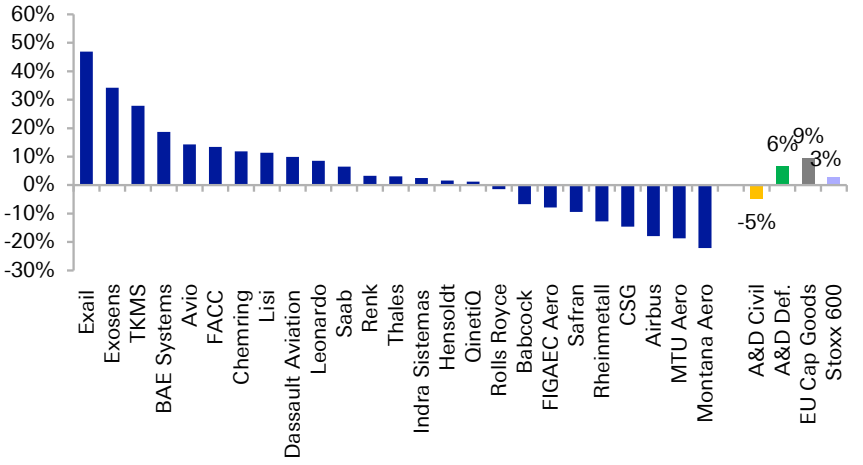
A&D share price performance

Figure 16: Europe A&D – last week's performance



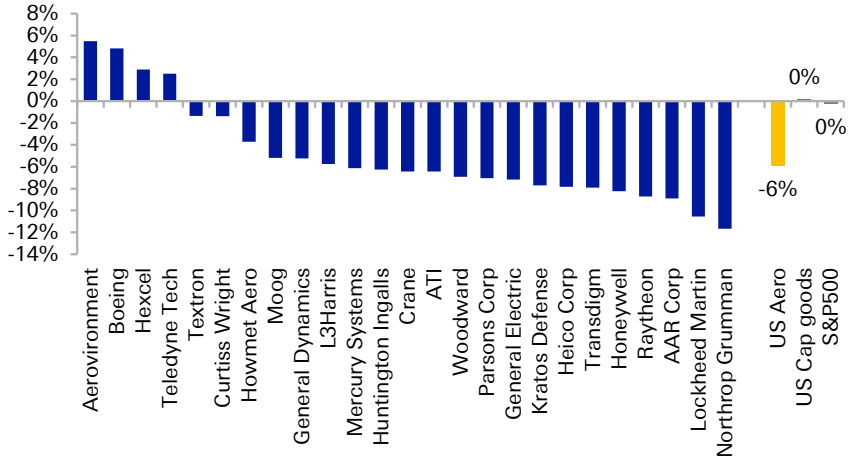
Source : Deutsche Bank, Bloomberg Finance LP

Figure 17: Europe A&D – YTD 2026 performance



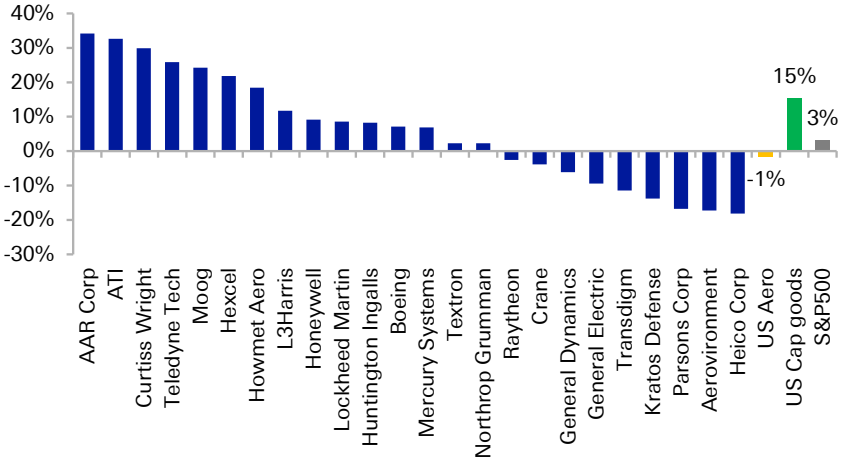
Source : Deutsche Bank, Bloomberg Finance LP

Figure 18: US A&D – last week's performance



Source : Deutsche Bank, Bloomberg Finance LP

Figure 19: US A&D – YTD 2026 performance



Source : Deutsche Bank, Bloomberg Finance LP

A&D sector valuation

Valuation table – listed major European A&D companies

Figure 20: European A&D sector valuation snapshot

Company Name	Lead Analyst	Currency	Current	Target	Upside/	Rating	EBIT Margin (%)			EV/Sales			EV/EBIT			PE			Dividend yield			FCF yield			FCF Conversion		
24/Apr/26			Price	Price	downside		2026	2027	2028	2026	2027	2028	2026	2027	2028	2026	2027	2028	2026	2027	2028	2026	2027	2028	2026	2027	2028
Airbus	Christophe Menard	EUR	163.2	226.0	38%	Buy	9.6%	10.1%	11.1%	1.6	1.4	1.2	16.5	13.9	10.6	22.4	19.7	15.6	2.1%	2.5%	3.3%	3.5%	4.7%	6.1%	59%	70%	72%
Safran	Christophe Menard	EUR	269.5	365.0	35%	Buy	17.3%	17.9%	18.3%	3.1	2.7	2.5	17.9	15.3	13.7	27.6	21.2	19.1	1.7%	2.1%	2.4%	3.9%	4.6%	4.9%	73%	76%	72%
MTU Aero Engines	Christophe Menard	EUR	288.9	428.0	48%	Buy	14.4%	14.9%	15.3%	1.9	1.7	1.4	13.1	11.2	9.5	16.9	14.4	12.5	1.6%	2.2%	3.4%	3.3%	4.3%	5.4%	39%	45%	50%
Rolls-Royce	Christophe Menard	GBP	1,136.4	1,325.0	17%	Buy	15.4%	16.0%	16.4%	4.3	3.7	3.3	27.6	23.1	19.8	35.5	30.5	27.2	0.9%	1.0%	1.1%	3.9%	4.9%	5.2%	111%	122%	115%
Melrose Industries PLC	Richard Paige	GBP	497.4	570.0	15%	Hold	18.9%	20.5%	21.9%	2.1	1.9	1.7	11.0	9.3	7.8	13.4	11.1	9.4	1.7%	2.0%	2.4%	3.2%	3.8%	5.4%	27%	28%	34%
Lisi	*Not covered*	EUR	58.9	-	-	-	10.1%	10.8%	11.3%	1.5	1.4	1.3	15.4	13.1	11.6	21.1	17.5	15.6	1.0%	1.2%	1.5%	2.5%	3.8%	4.8%	35%	46%	52%
FACC	*Not covered*	EUR	13.0	-	-	-	5.9%	7.6%	8.2%	0.7	0.6	0.6	11.9	8.2	6.7	13.8	9.1	7.1	1.4%	2.4%	2.8%	5.7%	6.4%	7.3%	53%	41%	38%
Avio	*Not covered*	EUR	33.5	-	-	-	2.3%	2.1%	2.3%	1.7	1.5	1.4	71.8	70.5	59.7	122.0	118.5	100.1	0.4%	0.4%	0.4%				0%	0%	
Montana Aero	*Not covered*	CHF	22.1	-	-	-	9.2%	11.3%	11.8%	1.5	1.4	1.2	16.3	12.0	10.6	19.1	12.9	13.2	1.4%	2.3%	2.5%	6.1%	9.6%		87%	101%	
FIGAEC Aero	*Not covered*	EUR	10.0	-	-	-	7.3%	9.0%	10.7%	1.5	1.4	1.2	20.7	15.1	11.3	40.0	18.9	12.0		0.0%		2.1%	4.8%	7.1%	26%	45%	49%
Civil median							**9.4%**	**10.5%**	**11.3%**	**1.7**	**1.5**	**1.4**	**17.2**	**14.5**	**11.3**	**25.0**	**19.3**	**15.6**	**1.4%**	**1.6%**	**2.4%**	**3.6%**	**4.6%**	**5.4%**	**53%**	**45%**	**51%**
BAE Systems Plc	Christophe Menard	GBP	2,034.0	2,140.0	5%	Hold	10.8%	11.0%	11.1%	2.0	1.8	1.7	18.6	16.6	15.3	25.1	22.2	20.4	1.8%	2.1%	2.3%	3.6%	4.5%	4.8%	62%	71%	71%
Thales	Christophe Menard	EUR	236.7	283.0	20%	Hold	12.7%	13.0%	13.5%	2.1	1.8	1.6	16.3	14.2	12.0	28.1	22.9	19.4	1.8%	2.1%	2.5%	4.2%	5.0%	6.0%	69%	75%	79%
Dassault Aviation**	Christophe Menard	EUR	299.4	330.0	10%	Hold	9.3%	9.5%	9.9%	1.6	1.5	1.3	17.9	14.6	11.9	19.6	16.4	13.8	1.6%	1.7%	2.1%	2.2%	1.3%	1.0%	69%	33%	20%
Renk AG	Christophe Menard	EUR	55.4	73.0	32%	Buy	17.6%	18.1%	18.7%	3.9	3.3	2.8	22.0	18.1	14.8	32.4	25.9	20.8	1.5%	2.0%	2.5%	3.0%	3.5%	4.2%	64%	61%	61%
Rheinmetall	Christoph Laskawi	EUR	1,361.4	2,100.0	54%	Buy	19.0%	20.0%	20.6%	4.2	3.1	2.4	22.3	15.4	11.5	34.2	23.5	17.7	1.2%	1.7%	2.2%	5.9%	0.3%	2.5%	138%	4%	30%
Leonardo	Christophe Menard	EUR	53.4	70.0	31%	Buy	9.3%	10.3%	10.9%	1.6	1.4	1.3	17.5	14.1	11.8	22.1	17.9	15.2	1.4%	1.8%	2.2%	3.1%	3.6%	4.0%	48%	45%	44%
Hensoldt	Christophe Menard	EUR	74.6	101.0	35%	Buy	13.7%	15.0%	16.5%	3.6	3.1	2.5	26.4	20.5	15.3	42.7	30.1	21.5	0.9%	1.2%	1.7%	1.6%	2.9%	3.9%	38%	54%	56%
QinetiQ Group	Richard Paige	GBP	450.2	635.0	41%	Buy	10.9%	11.2%	11.4%	1.4	1.3	1.2	12.4	11.6	10.5	14.9	13.4	12.6	2.1%	2.3%	2.4%	6.1%	6.0%	6.5%	71%	66%	67%
Chemring Group PLC	Richard Paige	GBP	528.5	650.0	23%	Buy	14.8%	15.5%	16.1%	3.0	2.7	2.4	20.2	17.2	15.1	27.1	22.5	20.1	1.5%	1.9%	2.1%	0.0%	3.0%	4.6%	0%	47%	63%
Babcock International	James Beard	GBP	1,158.5	1,350.0	17%	Hold	8.1%	8.3%	8.7%	1.2	1.1	1.1	15.3	13.7	12.2	21.1	19.3	17.2	0.7%	0.8%	0.9%	3.2%	3.7%	4.4%	47%	49%	54%
Fincantieri	Sriram Krishnan, CFA	EUR	12.8	18.5	45%	Buy	4.3%	4.7%	5.2%	0.6	0.6	0.6	15.0	12.9	10.6	28.1	19.5	15.1	0.0%	1.0%	1.6%	-1.0%	-1.7%	1.9%	-13%	-17%	16%
Exosens	Sriram Krishnan, CFA	EUR	65.1	60.0	-8%	Hold	27.5%	27.7%	28.1%	6.4	5.5	4.6	23.2	20.0	16.3	32.2	27.8	22.8	0.5%	0.8%	1.0%	2.3%	2.6%	3.1%	50%	51%	49%
Theon International	Sriram Krishnan, CFA	EUR	35.4	39.0	10%	Buy	25.2%	26.0%	26.6%	4.5	3.7	3.1	18.0	14.3	11.6	25.3	20.8	16.6	1.0%	1.2%	1.5%	0.7%	2.3%	3.7%	13%	34%	46%
TKMS	Sriram Krishnan, CFA	EUR	84.5	99.0	17%	Buy	6.4%	7.0%	7.4%	1.7	1.4	1.1	26.0	20.5	15.5	49.2	40.3	32.2	0.0%	0.7%	1.1%	2.9%	3.6%	4.5%	106%	109%	111%
CSG	Sriram Krishnan, CFA	EUR	21.3	34.0	59%	Buy	24.1%	24.4%	25.0%	3.0	2.5	2.0	12.3	10.1	7.9	20.8	16.8	13.5	0.0%	1.8%	2.5%	4.6%	4.9%	6.6%	55%	50%	55%
Saab	*Not covered*	SEK	572.4	-	-	-	10.6%	11.1%	11.6%	3.2	2.7	2.3	30.5	24.3	20.0	39.3	31.0	25.4	0.6%	0.7%	0.9%	0.8%	1.5%	2.6%	24%	37%	51%
Kongsberg Gruppen	*Not covered*	NOK	319.0	-	-	-	14.7%	16.2%	16.2%	4.6	3.6	2.9	31.4	21.9	17.7	37.7	27.5	21.7	1.9%	2.4%	3.1%	2.5%	4.1%	5.4%	84%	93%	100%
Indra Sistemas	*Not covered*	EUR	49.8	-	-	-	10.4%	10.6%	11.1%	1.5	1.3	1.2	14.1	12.4	10.7	18.5	16.1	13.9	0.8%	0.9%	1.0%	4.3%	5.1%	6.3%	53%	55%	59%
Exail	*Not covered*	EUR	121.5	-	-	-	16.4%	18.8%	19.9%	3.8	3.0	2.5	23.1	15.7	12.7	87.2	32.7	24.0	0.0%	0.0%		2.3%	3.2%	4.7%	50%	47%	57%
Defence median							**11.8%**	**12.1%**	**12.5%**	**2.5**	**2.2**	**1.8**	**18.6**	**15.4**	**12.2**	**28.1**	**22.5**	**19.4**	**1.1%**	**1.7%**	**2.1%**	**2.7%**	**3.3%**	**4.3%**	**54%**	**50%**	**56%**
UK median							**10.9%**	**11.2%**	**11.4%**	**2.0**	**1.8**	**1.7**	**18.6**	**16.6**	**15.1**	**25.1**	**22.2**	**20.1**	**1.5%**	**1.9%**	**2.1%**	**3.6%**	**3.8%**	**5.0%**	**62%**	**49%**	**65%**
EU median							**10.4%**	**11.1%**	**11.6%**	**2.0**	**1.8**	**1.4**	**18.0**	**15.1**	**11.9**	**28.1**	**21.2**	**17.2**	**1.0%**	**1.5%**	**2.2%**	**2.7%**	**3.6%**	**4.5%**	**53%**	**46%**	**51%**
European A&D Sector median							**10.7%**	**11.2%**	**11.6%**	**1.9**	**1.7**	**1.5**	**18.0**	**15.1**	**12.0**	**27.6**	**21.2**	**17.4**	**1.2%**	**1.7%**	**2.2%**	**3.1%**	**3.7%**	**4.8%**	**53%**	**47%**	**55%**
European A&D Sector average / mean							**12.5%**	**13.3%**	**14.1%**	**2.5**	**2.1**	**1.8**	**21.8**	**17.8**	**14.3**	**33.8**	**25.8**	**20.5**	**1.1%**	**1.5%**	**1.9%**	**3.1%**	**3.5%**	**4.6%**	**54%**	**52%**	**57%**

uncovered stocks data is from Bloomberg
** Dassault EV excluding Thales value

*Source : Deutsche Bank Research , Bloomberg Finance LP for non-covered companies; *Based on closing prices as of 23 April 2026*

Valuation table – listed major US A&D companies

Figure 21: US A&D sector valuation snapshot

Company Name	Lead Analyst	Currency	Current	Target	Upside/	Rating	EBIT Margin (%)			EV/Sales			EV/EBIT			PE			Dividend yield			FCF yield			FCF Conversion		
24/Apr/26			Price	Price	downside		2026	2027	2028	2026	2027	2028	2026	2027	2028	2026	2027	2028	2026	2027	2028	2026	2027	2028	2026	2027	2028
General Electric	Scott Deuschle	USD	282	367	30%	Buy	21.4%	21.5%	22.0%	6.2	5.7	5.1	29.2	26.4	23.3	37.6	34.4	30.2	0.7%	0.7%	0.8%	2.9%	3.0%	3.3%	82%	78%	75%
Raytheon	Scott Deuschle	USD	179	240	34%	Buy	13.0%	13.7%	14.2%	2.9	2.7	2.4	22.1	19.3	17.1	26.2	23.4	21.2	1.6%	1.7%	1.8%	3.5%	4.2%	4.9%	70%	74%	77%
Honeywell	Nicole DeBlase	USD	214	255	19%	Buy	19.7%	20.6%	24.2%	4.0	3.7	3.7	20.2	18.1	15.1	20.1	18.2	17.0	2.2%	2.3%	2.5%	3.9%	4.6%	5.0%	68%	72%	63%
Boeing	Scott Deuschle	USD	234	233	0%	Hold	0.4%	4.3%	6.7%	2.2	1.8	1.6	NM	42.2	23.6	NM	62.0	30.2	0.0%	0.1%	0.6%	1.5%	3.1%	5.9%	801%	121%	132%
Lockheed Martin	Scott Deuschle	USD	530	575	9%	Hold	12.0%	11.9%	11.7%	1.7	1.6	1.5	14.1	13.6	13.1	17.8	16.8	15.7	2.7%	2.8%	2.9%	5.6%	5.3%	5.7%	71%	66%	67%
General Dynamics	Scott Deuschle	USD	319	387	21%	Hold	10.3%	10.7%	10.8%	1.6	1.5	1.5	15.7	14.3	13.6	19.6	17.6	16.3	2.0%	2.1%	2.2%	5.1%	5.3%	5.7%	77%	74%	76%
Northrop Grumman	Scott Deuschle	USD	588	778	32%	Buy	10.6%	10.5%	10.7%	2.1	2.0	1.9	20.0	19.1	17.9	21.1	20.2	18.6	1.7%	1.8%	1.9%	4.0%	4.3%	4.8%	71%	74%	78%
Transdigm	Scott Deuschle	USD	1,166	1,306	12%	Hold	48.7%	49.5%	50.6%	9.4	8.4	7.7	19.4	17.0	15.2	29.6	24.9	21.6	3.5%	2.6%	4.6%	2.9%	3.5%	4.0%	39%	42%	45%
L3Harris	Scott Deuschle	USD	330	326	-1%	Hold	13.4%	14.2%	14.8%	3.0	2.7	2.4	22.3	18.9	16.3	28.7	24.3	21.1	1.5%	1.6%	1.7%	4.9%	5.2%	5.7%	96%	88%	86%
Howmet Aero	Scott Deuschle	USD	246	278	13%	Buy	27.5%	29.9%	31.5%	10.9	9.4	8.2	39.5	31.5	25.9	53.8	41.9	34.2	0.2%	0.3%	0.3%	1.6%	2.1%	2.7%	64%	66%	69%
Heico Corp	Scott Deuschle	USD	269	375	40%	Buy	22.9%	23.4%	24.2%	7.7	6.9	6.2	33.6	29.3	25.5	48.4	41.4	35.4	0.1%	0.1%	0.1%	2.9%	3.3%	3.7%	80%	82%	82%
Huntington Ingalls	Scott Deuschle	USD	370	307	-17%	Hold	5.5%	6.0%	6.3%	1.3	1.2	1.1	23.5	20.1	17.9	21.7	19.6	17.6	1.5%	1.6%	1.7%	3.8%	4.3%	4.9%	79%	76%	79%
Hexcel	Scott Deuschle	USD	91	79	-13%	Hold	12.9%	15.2%	16.7%	3.8	3.4	3.0	29.1	22.3	18.2	39.7	29.1	23.8	0.8%	0.9%	0.9%	2.9%	3.7%	4.4%	75%	76%	75%
Woodward	Scott Deuschle	USD	368	445	21%	Buy	17.4%	18.3%	19.4%	5.4	5.1	4.7	31.2	27.6	24.0	42.9	37.4	32.5	0.3%	0.4%	0.4%	1.5%	2.5%	3.0%	47%	66%	69%
Crane	Scott Deuschle	USD	180	222	23%	Buy	20.0%	21.4%	22.7%	3.8	3.4	3.1	18.9	16.1	13.8	26.8	23.1	20.2	0.6%	0.6%	0.7%	3.8%	4.4%	5.1%	69%	71%	74%
ATI	Scott Deuschle	USD	154	185	20%	Buy	17.1%	18.5%	19.7%	4.5	4.1	3.7	26.3	22.1	19.0	36.3	29.6	24.8				2.4%	2.5%	3.4%	59%	54%	62%
Teledyne Tech	*Not Covered*	USD	652	-	-	-	23.1%	22.9%	23.7%	5.0	4.8	4.5	21.7	20.8	19.1	27.2	25.2	23.3	0.0%	0.0%	0.0%	3.6%	4.2%	4.4%	74%	81%	80%
Textron	*Not Covered*	USD	90	-	-	-	9.4%	9.8%	10.2%	1.2	1.2	1.2	13.2	12.1	11.3	13.9	12.3	11.2	0.1%	0.1%	0.1%	4.5%	5.6%	7.3%	49%	55%	68%
Curtiss Wright	*Not Covered*	USD	726	-	-	-	19.1%	19.7%	20.2%	7.3	6.8	6.3	38.5	34.6	31.1	48.2	43.2	38.1	0.1%	0.1%	0.1%	2.2%	2.3%	2.5%	82%	78%	77%
Parsons Corp	*Not Covered*	USD	52	-	-	-	6.9%	7.3%	7.6%	1.0	0.9	0.9	14.1	12.5	11.5	16.1	14.2	12.8	0.0%	0.0%		7.3%	8.3%	9.1%	87%	87%	88%
Moog	*Not Covered*	USD	306	-	-	-	12.3%	12.8%	13.3%	2.7	2.5	2.3	21.6	19.4	17.6	30.0	26.4		0.4%	0.4%	0.4%	1.9%	2.7%		37%	47%	
Aerovironment	*Not Covered*	USD	202	-	-	-	-10.2%	1.9%	5.2%	5.5	4.8	4.2	NM	NM	81.0	69.7	50.0	38.3				-0.1%	1.5%	2.4%	NM	368%	189%
Kratos Defense	*Not Covered*	USD	66	-	-	-	3.8%	5.9%	6.9%	7.1	5.8	4.9	NM	98.4	71.3	86.2	64.9	52.2				-0.7%	-0.1%	0.6%	NM	-5%	47%
AAR Corp	*Not Covered*	USD	112	-	-	-	10.1%	10.4%	10.8%	1.6	1.5	1.4	16.2	14.2	12.9	22.9	19.8	17.0				1.4%	2.4%	3.1%	19%	28%	33%
Mercury Systems	*Not Covered*	USD	79	-	-	-	-0.6%	6.1%	9.4%	5.3	4.8	4.4	NM	NM	47.1	82.3	52.5	38.0				1.5%	2.4%	3.1%	NM	179%	139%
FTAI	Michael Linenberg	USD	236	335	42%	Buy	34.0%	32.1%	33.2%	7.4	4.4	3.5				19.3	12.1	10.6	0.6%	0.6%	0.6%	5.3%	8.0%	9.1%	116%	138%	111%
US A&D Sector median							**12.3%**	**12.8%**	**13.3%**	**3.8**	**3.4**	**3.1**	**21.7**	**19.4**	**17.9**	**28.7**	**25.0**	**21.6**	**0.5%**	**0.5%**	**0.7%**	**2.9%**	**3.5%**	**4.4%**	**71%**	**74%**	**76%**
US A&D Sector average / mean							**13.6%**	**15.3%**	**16.4%**	**4.3**	**3.8**	**3.5**	**23.1**	**25.0**	**24.4**	**36.5**	**31.1**	**25.5**	**1%**	**1%**	**1%**	**3.0%**	**3.6%**	**4.4%**	**102%**	**85%**	**81%**

*Source : Deutsche Bank Research, Bloomberg Finance LP; *Based on closing prices as of 23 April 2026*

Absolute and relative share price performance – European A&D stocks

Figure 22: European A&D sector share price performance

Company Name	Currency	Current Price	Absolute performance %						vs 52 week High	vs 52 week Low	Relative performance % (vs Stoxx 600)					
			1W	1M	3M	6M	12M	YTD			1W	1M	3M	6M	12M	YTD
Airbus	EUR	163	-9%	-1%	-21%	-22%	19%	-18%	-26%	19%	-6%	-6%	-21%	-27%	2%	-21%
Safran	EUR	270	-15%	-4%	-13%	-11%	22%	-9%	-23%	25%	-12%	-10%	-13%	-17%	5%	-12%
MTU Aero	EUR	289	-17%	-7%	-24%	-26%	4%	-19%	-29%	5%	-14%	-13%	-24%	-31%	-14%	-21%
Rolls Royce	GBP	1,136	-13%	-2%	-9%	1%	55%	-1%	-20%	59%	-10%	-8%	-9%	-4%	37%	-4%
Melrose	GBP	497	-12%	1%	-22%	-22%	20%	-15%	-27%	21%	-9%	-4%	-22%	-28%	3%	-18%
Lisi *	EUR	59	-5%	15%	7%	17%	118%	11%	-9%	126%	-2%	10%	7%	11%	100%	9%
FACC *	EUR	13	-12%	-4%	13%	47%	91%	13%	-17%	107%	-9%	-9%	13%	41%	73%	11%
Avio	EUR	34	-9%	1%	-5%	162%	125%	14%	-36%	129%	-6%	-4%	-5%	157%	108%	12%
Montana Aero	CHF	22	-16%	-15%	-34%	-26%	49%	-22%	-38%	53%	-13%	-20%	-34%	-32%	32%	-25%
FIGAEC Aero	EUR	10	-4%	5%	-12%	-12%	19%	-8%	-23%	20%	-2%	0%	-12%	-17%	2%	-11%
Civil median			**-10%**	**0%**	**-11%**	**-5%**	**52%**	**-5%**	**-23%**	**56%**	**-8%**	**-5%**	**-11%**	**-11%**	**34%**	**-7%**
BAE Systems	GBP	2,034	-10%	-4%	0%	9%	21%	19%	-14%	28%	-7%	-9%	0%	4%	4%	16%
Thales	EUR	237	-11%	-1%	-8%	-7%	-2%	3%	-15%	9%	-8%	-7%	-9%	-12%	-19%	0%
Dassault Aviation	EUR	299	-8%	-7%	-10%	7%	0%	10%	-17%	15%	-5%	-12%	-10%	1%	-17%	7%
Renk	EUR	55	2%	10%	-7%	-17%	14%	3%	-39%	22%	4%	5%	-7%	-22%	-3%	1%
Rheinmetall	EUR	1,361	-9%	-7%	-26%	-23%	-2%	-13%	-32%	2%	-6%	-13%	-26%	-29%	-19%	-15%
Leonardo	EUR	53	-8%	-8%	-8%	4%	20%	9%	-19%	24%	-5%	-13%	-8%	-2%	3%	6%
Hensoldt	EUR	75	-8%	4%	-15%	-24%	17%	2%	-37%	22%	-5%	-1%	-15%	-30%	-1%	-1%
Saab *	SEK	572	-4%	-10%	-20%	10%	35%	6%	-24%	42%	-1%	-15%	-20%	4%	17%	4%
Kongsberg Gruppen	NOK	319	3%	-2%	19%	30%	23%	48%	-10%	69%	6%	-7%	19%	24%	6%	45%
QinetiQ	GBP	450	-7%	-4%	-14%	-9%	17%	1%	-22%	20%	-4%	-9%	-14%	-15%	0%	-1%
Babcock	GBP	1,159	-8%	-7%	-20%	-5%	46%	-7%	-24%	48%	-5%	-12%	-20%	-11%	28%	-9%
Chemring	GBP	529	-6%	10%	1%	-8%	37%	12%	-14%	41%	-3%	5%	1%	-14%	20%	9%
Fincantieri	EUR	13	-7%	3%	-25%	-45%	19%	-24%	-53%	26%	-5%	-2%	-25%	-50%	2%	-26%
Indra Sistemas	EUR	50	-9%	7%	-10%	8%	81%	2%	-25%	89%	-7%	2%	-10%	3%	63%	0%
Exosens	EUR	65	-1%	5%	19%	37%	87%	34%	-12%	99%	2%	0%	19%	31%	69%	32%
Exail	EUR	122	1%	-3%	17%	44%	172%	47%	-24%	188%	4%	-8%	17%	38%	155%	44%
Theon	EUR	35	6%	19%	17%	30%	46%	34%	-3%	62%	9%	14%	17%	24%	29%	31%
TKMS	EUR	85	-4%	6%	-15%			28%	-21%	48%	-2%	1%	-15%			25%
CSG	EUR	21	0%	-24%	-35%			-15%	-40%	5%	3%	-29%				-17%
Defence median			**-7%**	**-2%**	**-8%**	**4%**	**21%**	**6%**	**-22%**	**28%**	**-5%**	**-7%**	**-9%**	**-2%**	**4%**	**4%**
UK median			**-8%**	**-2%**	**-9%**	**-5%**	**37%**	**1%**	**-20%**	**41%**	**-5%**	**-8%**	**-9%**	**-11%**	**20%**	**-1%**
EU median			**-8%**	**-1%**	**-9%**	**5%**	**23%**	**5%**	**-23%**	**34%**	**-5%**	**-6%**	**-9%**	**0%**	**5%**	**2%**
European A&D Sector median			**-8%**	**-2%**	**-10%**	**-6%**	**22%**	**3%**	**-23%**	**26%**	**-5%**	**-7%**	**-10%**	**-12%**	**4%**	**0%**
European A&D Sector average / mean			**-7%**	**-1%**	**-6%**	**11%**	**49%**	**10%**	**-23%**	**58%**	**-5%**	**-6%**	**-6%**	**6%**	**31%**	**7%**

*Source : Deutsche Bank, company data; *Based on closing prices as of 23 April 2026*

Absolute and relative share price performance – US A&D stocks

Figure 23: US A&D sector share price performance

Company Name	Currency	Current Price	Absolute performance %						vs 52 week High	vs 52 week Low	Relative performance % (vs S&P 500)					
			1W	1M	3M	6M	12M	YTD			1W	1M	3M	6M	12M	YTD
Boeing	USD	234	5%	19%	-7%	6%	33%	7%	-8%	39%	5%	11%	-10%	1%	3%	4%
Honeywell	USD	214	-8%	-3%	-3%	5%	13%	9%	-14%	16%	-8%	-12%	-6%	1%	-16%	6%
General Electric	USD	282	-7%	-3%	-4%	-7%	43%	-9%	-19%	45%	-7%	-11%	-7%	-12%	13%	-13%
Raytheon	USD	179	-9%	-8%	-8%	0%	47%	-3%	-16%	50%	-8%	-16%	-11%	-4%	17%	-6%
Transdigm	USD	1166	-8%	0%	-18%	-14%	-15%	-11%	-23%	4%	-8%	-8%	-21%	-19%	-44%	-15%
Heico Corp	USD	269	-8%	-4%	-20%	-15%	9%	-18%	-26%	11%	-8%	-13%	-22%	-20%	-21%	-21%
Teledyne Tech	USD	652	3%	4%	7%	22%	42%	26%	-6%	48%	3%	-4%	4%	18%	12%	23%
Howmet Aero	USD	246	-4%	3%	15%	24%	84%	18%	-8%	90%	-3%	-6%	12%	19%	55%	15%
Textron	USD	90	-1%	0%	-5%	11%	33%	2%	-11%	41%	-1%	-9%	-8%	7%	3%	-1%
Curtiss Wright	USD	726	-1%	4%	12%	27%	116%	30%	-3%	123%	-1%	-5%	9%	22%	87%	27%
Hexcel	USD	91	3%	13%	9%	25%	82%	22%	-7%	92%	3%	4%	6%	21%	52%	19%
Parsons Corp	USD	52	-7%	3%	-29%	-38%	-23%	-17%	-42%	5%	-7%	-6%	-32%	-43%	-53%	-20%
Mercury Systems	USD	79	-6%	6%	-20%	-1%	58%	7%	-24%	79%	-6%	-2%	-23%	-5%	29%	4%
Moog	USD	306	-5%	1%	5%	44%	81%	24%	-14%	88%	-5%	-7%	2%	40%	52%	21%
AAR Corp	USD	112	-9%	4%	6%	30%	113%	34%	-12%	117%	-9%	-4%	3%	25%	83%	31%
Woodward	USD	368	-7%	0%	12%	38%	103%	21%	-10%	111%	-7%	-9%	10%	34%	73%	18%
Crane	USD	180	-6%	4%	-12%	-6%	21%	-4%	-16%	27%	-6%	-4%	-14%	-11%	-9%	-7%
ATI	USD	154	-6%	3%	25%	73%	194%	33%	-8%	206%	-6%	-5%	22%	68%	164%	30%
Civil median			**-6%**	**3%**	**-4%**	**9%**	**45%**	**8%**	**-13%**	**49%**	**-6%**	**-6%**	**-6%**	**4%**	**15%**	**5%**
Lockheed Martin	USD	530	-11%	-13%	-10%	9%	13%	9%	-23%	29%	-10%	-22%	-13%	4%	-16%	5%
General Dynamics	USD	319	-5%	-8%	-12%	-9%	17%	-6%	-14%	21%	-5%	-16%	-15%	-14%	-12%	-9%
Northrop Grumman	USD	588	-12%	-14%	-13%	-3%	27%	2%	-24%	30%	-11%	-22%	-15%	-8%	-3%	-1%
L3Harris	USD	330	-6%	-6%	-7%	13%	53%	12%	-13%	59%	-5%	-14%	-10%	8%	23%	9%
Huntington Ingalls	USD	370	-6%	-8%	-12%	23%	67%	8%	-20%	72%	-6%	-16%	-14%	19%	37%	5%
Kratos Defense	USD	66	-8%	-15%	-41%	-28%	97%	-14%	-51%	101%	-7%	-24%	-43%	-33%	67%	-17%
Aerovironment	USD	202	5%	3%	-34%	-47%	36%	-17%	-52%	42%	6%	-5%	-37%	-51%	6%	-20%
Defence median			**-6%**	**-8%**	**-12%**	**-3%**	**36%**	**2%**	**-23%**	**42%**	**-6%**	**-16%**	**-15%**	**-8%**	**6%**	**-1%**
US A&D Sector median			**-6%**	**3%**	**-4%**	**9%**	**45%**	**8%**	**-13%**	**49%**	**-6%**	**-6%**	**-6%**	**4%**	**15%**	**5%**
US A&D Sector average / mean			**-5%**	**3%**	**-2%**	**13%**	**57%**	**10%**	**-15%**	**66%**	**-4%**	**-6%**	**-5%**	**8%**	**28%**	**6%**

*Source : Deutsche Bank, company data; *Based on closing prices as of 23 April 2026*

Appendix 1

Important Disclosures

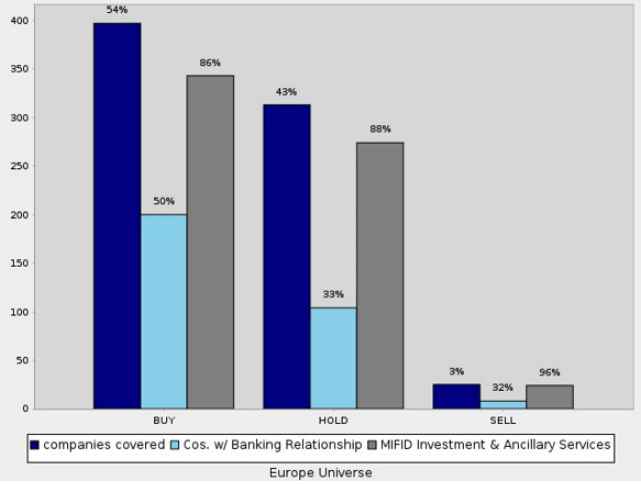
*Other information available upon request

*Prices are current as of the end of the previous trading session unless otherwise indicated and are sourced from local exchanges via Reuters, Bloomberg and other vendors . Other information is sourced from Deutsche Bank, subject companies, and other sources. For disclosures pertaining to recommendations or estimates made on securities other than the primary subject of this research, please see the most recently published company report or visit our global disclosure look-up page on our website at https://research.db.com/Research/Disclosures/EquityResearchDisclosures. Aside from within this report, important risk and conflict disclosures can also be found at https://research.db.com/Research/Disclosures/Disclaimer. Investors are strongly encouraged to review this information before investing.

Analyst Certification

The views expressed in this report accurately reflect the personal views of the undersigned lead analyst about the subject issuers and the securities of those issuers. In addition, the undersigned lead analyst has not and will not receive any compensation for providing a specific recommendation or view in this report. Christophe Menard, Sriram Krishnan.

Equity rating dispersion and banking relationships



Equity Rating and Dispersion Key

The Equity Rating Dispersion Chart depicts the following:

The proportion of recommendations that are rated "buy", "sell" and "hold" over the previous 12 months. This is shown for securities issued in the stated region e.g. "Europe Universe". See rating definitions below. This is represented by the "Companies Covered" bars in the chart. The percentage value displayed above the bar is the proportion as a percentage. E.g. 50% above the “buy” / “Companies Covered” bar means that 50% of DB’s equity research covered companies over the past 12 months have a “buy” rating.

Next to each of the three respective bars showing the proportion of "buy", "sell" and "hold" recommendations we provide two additional bars to show:

- The proportion of "buy", "sell" or "hold recommendations where Deutsche Bank and or/Affiliates provided MIFID Investment or Ancillary Services in the past 12 months. This is represented in the "MIFID Investment and Ancillary Services" bar. The percentage value displayed above the bar shows the proportion of Companies Covered with the given rating where DB has also provided MIFID Investment and Ancillary Services in the past 12 months. E.g. 50% above the “Cos. w/ MIFID Investment and Ancillary Services” bar means 50% of the Companies Covered with the rating stated have also received MIFID Investment and Ancillary Services from DB.

- The proportion of "buy" (or "sell" or "hold) recommendations where Deutsche Bank and or/Affiliates has provided Investment Banking services in the past 12 months for which it has received compensation. The percentage value displayed above the bar shows the proportion of Companies Covered with the stated rating where DB has also provided Investment Banking services in the past 12 months. E.g. 50% above the “Cos. w/ Investment Banking relationship” bar means 50% of the Companies Covered with the rating stated also have an Investment Banking Relationship with DB.

Buy: Based on a current 12- month view of TSR, we recommend that investors buy the stock.

Sell: Based on a current 12-month view of TSR, we recommend that investors sell the stock.

Hold: We take a neutral view on the stock 12-months out and, based on this time horizon, do not recommend either a Buy or Sell.

TSR = Total Shareholder Return. Percentage change in share price from current price to projected target price plus projected dividend yield

Newly issued research recommendations and target prices supersede previously published research.



Additional Information

The information and opinions in this report were prepared by Deutsche Bank AG or one of its affiliates (collectively 'Deutsche Bank'). Though the information herein is believed to be reliable and has been obtained from public sources believed to be reliable, Deutsche Bank makes no representation as to its accuracy or completeness. Hyperlinks to third-party websites in this report are provided for reader convenience only. Deutsche Bank neither endorses the content nor is responsible for the accuracy or security controls of those websites.

If you use the services of Deutsche Bank in connection with a purchase or sale of a security that is discussed in this report, or is included or discussed in another communication (oral or written) from a Deutsche Bank analyst, Deutsche Bank may act as principal for its own account or as agent for another person.

Deutsche Bank may consider this report in deciding to trade as principal. It may also engage in transactions, for its own account or with customers, in a manner inconsistent with the views taken in this research report. Others within Deutsche Bank, including strategists, sales staff and other analysts, may take views that are inconsistent with those taken in this research report. Deutsche Bank issues a variety of research products, including fundamental analysis, equity-linked analysis, quantitative analysis and trade ideas. Recommendations contained in one type of communication may differ from recommendations contained in others, whether as a result of differing time horizons, methodologies, perspectives or otherwise. Deutsche Bank and/or its affiliates may also be holding debt or equity securities of the issuers it writes on. Analysts are paid in part based on the profitability of Deutsche Bank AG and its affiliates, which includes investment banking, trading and principal trading revenues.

Opinions, estimates and projections constitute the current judgment of the author as of the date of this report. They do not necessarily reflect the opinions of Deutsche Bank and are subject to change without notice. Deutsche Bank provides liquidity for buyers and sellers of securities issued by the companies it covers. Deutsche Bank research analysts sometimes have shorter-term trade ideas that may be inconsistent with Deutsche Bank's existing longer-term ratings. Some trade ideas for equities are listed as Catalyst Calls on the Research Website (https://research.db.com/Research/) , and can be found on the general coverage list and also on the covered company's page. A Catalyst Call represents a high-conviction belief by an analyst that a stock will outperform or underperform the market and/or a specified sector over a time frame of no less than two weeks and no more than three months. In addition to Catalyst Calls, analysts may occasionally discuss with our clients, and with Deutsche Bank salespersons and traders, trading strategies or ideas that reference catalysts or events that may have a near-term or medium-term impact on the market price of the securities discussed in this report, which impact may be directionally counter to the analysts' current 12-month view of total return or investment return as described herein. Deutsche Bank has no obligation to update, modify or amend this report or to otherwise notify a recipient thereof if an opinion, forecast or estimate changes or becomes inaccurate. Coverage and the frequency of changes in market conditions and in both general and company-specific economic prospects make it difficult to update research at defined intervals. Updates are at the sole discretion of the coverage analyst or of the Research Department Management, and the majority of reports are published at irregular intervals. This report is provided for informational purposes only and does not take into account the particular investment objectives, financial situations, or needs of individual clients. It is not an offer or a solicitation of an offer to buy or sell any financial instruments or to participate in any particular trading strategy. Target prices are inherently imprecise and a product of the analyst's judgment. The financial instruments discussed in this report may not be suitable for all investors, and investors must make their own informed investment decisions. Prices and availability of financial instruments are subject to change without notice, and investment transactions can lead to losses as a result of price fluctuations and other factors. If a financial instrument is denominated in a currency other than an investor's currency, a change in exchange rates may adversely affect the investment. Past performance is not necessarily indicative of future results. Performance calculations exclude transaction costs, unless otherwise indicated. Unless otherwise indicated, prices are current as of the end of the previous trading session and are sourced from local exchanges via Reuters, Bloomberg and other vendors. Data is also sourced from Deutsche Bank, subject companies, and other parties. Artificial intelligence tools may be used in the preparation of this material, including but not limited to assist in fact-finding, data analysis, pattern recognition, content drafting and editorial corrections pertaining to research material.

The Deutsche Bank Research Department is independent of other business divisions of the Bank. Details regarding our organizational arrangements and information barriers we have to prevent and avoid conflicts of interest with respect to our research are available on our website (https://research.db.com/Research/) under Disclaimer.

Macroeconomic fluctuations often account for most of the risks associated with exposures to instruments that promise to pay fixed or variable interest rates. For an investor who is long fixed-rate instruments (thus receiving these cash flows), increases in interest rates naturally lift the discount factors applied to the expected cash flows and thus cause a loss. The longer the maturity of a certain cash flow and the higher the move in the discount factor, the higher will be the loss. Upside surprises in inflation, fiscal funding needs, and FX depreciation rates are among the most common adverse macroeconomic shocks to receivers. But counterparty exposure, issuer creditworthiness, client segmentation, regulation (including changes in assets holding limits for different types of investors), changes in tax policies, currency convertibility (which may constrain currency conversion, repatriation of profits and/or liquidation of positions), and settlement issues related to local clearing houses are also important risk factors. The sensitivity of fixed-income instruments to macroeconomic shocks may be mitigated by indexing the contracted cash flows to inflation, to FX depreciation, or to specified interest rates - these are common in emerging markets. The index fixings may - by construction - lag or mis-measure the actual move in the underlying variables they are intended to track. The choice of the proper fixing (or metric) is particularly important in swaps markets, where floating coupon rates (i.e., coupons indexed to a typically short-dated interest rate reference index) are exchanged for fixed coupons. Funding in a currency that differs from the currency in which coupons are denominated carries FX risk. Options on swaps (swaptions) the risks typical to options in addition to the risks related to rates movements.



Derivative transactions involve numerous risks including market, counterparty default and illiquidity risk. The appropriateness of these products for use by investors depends on the investors' own circumstances, including their tax position, their regulatory environment and the nature of their other assets and liabilities; as such, investors should take expert legal and financial advice before entering into any transaction similar to or inspired by the contents of this publication. The risk of loss in futures trading and options, foreign or domestic, can be substantial. As a result of the high degree of leverage obtainable in futures and options trading, losses may be incurred that are greater than the amount of funds initially deposited - up to theoretically unlimited losses. Trading in options involves risk and is not suitable for all investors. Prior to buying or selling an option, investors must review the 'Characteristics and Risks of Standardized Options", at https://www.theocc.com/company-information/documents-and-archives/options-disclosure-document. If you are unable to access the website, please contact your Deutsche Bank representative for a copy of this important document.

Participants in foreign exchange transactions may incur risks arising from several factors, including the following: (i) exchange rates can be volatile and are subject to large fluctuations; (ii) the value of currencies may be affected by numerous market factors, including world and national economic, political and regulatory events, events in equity and debt markets and changes in interest rates; and (iii) currencies may be subject to devaluation or government-imposed exchange controls, which could affect the value of the currency. Investors in securities such as ADRs, whose values are affected by the currency of an underlying security, effectively assume currency risk.

Unless governing law provides otherwise, all transactions should be executed through the Deutsche Bank entity in the investor's home jurisdiction. Aside from within this report, important conflict disclosures can also be found at https://research.db.com/Research/ on each company's research page or under the 'Disclosures' tab. Investors are strongly encouraged to review this information before investing.

Deutsche Bank (which includes Deutsche Bank AG, its branches and affiliated companies) is not acting as a financial adviser, consultant or fiduciary to you or any of your agents (collectively, "You" or "Your") with respect to any information provided in this report. Deutsche Bank does not provide investment, legal, tax or accounting advice, Deutsche Bank is not acting as your impartial adviser, and does not express any opinion or recommendation whatsoever as to any strategies, products or any other information presented in the materials. Information contained herein is being provided solely on the basis that the recipient will make an independent assessment of the merits of any investment decision, and it does not constitute a recommendation of, or express an opinion on, any product or service or any trading strategy.

The information presented is general in nature and is not directed to retirement accounts or any specific person or account type, and is therefore provided to You on the express basis that it is not advice, and You may not rely upon it in making Your decision. The information we provide is being directed only to persons we believe to be financially sophisticated, who are capable of evaluating investment risks independently, both in general and with regard to particular transactions and investment strategies, and who understand that Deutsche Bank has financial interests in the offering of its products and services. If this is not the case, or if You are an IRA or other retail investor receiving this directly from us, we ask that you inform us immediately.

In July 2018, Deutsche Bank revised its rating system for short term ideas whereby the branding has been changed to Catalyst Calls ("CC") from SOLAR ideas; the rating categories for Catalyst Calls originated in the Americas region have been made consistent with the categories used by Analysts globally; and the effective time period for CCs has been reduced from a maximum of 180 days to 90 days.

United States: Approved and/or distributed by Deutsche Bank Securities Incorporated, a member of FINRA and SIPC. Analysts located outside of the United States are employed by non-US affiliates and are not registered/qualified as research analysts with FINRA.

European Economic Area (exc. United Kingdom): Approved and/or distributed by Deutsche Bank AG, a joint stock corporation with limited liability incorporated in the Federal Republic of Germany with its principal office in Frankfurt am Main. Deutsche Bank AG is authorized under German Banking Law and is subject to supervision by the European Central Bank and by BaFin, Germany's Federal Financial Supervisory Authority.

United Kingdom: Approved and/or distributed by Deutsche Bank AG acting through its London Branch at 21 Moorfields, London EC2Y 9DB. Deutsche Bank AG in the United Kingdom is authorised by the Prudential Regulation Authority and is subject to limited regulation by the Prudential Regulation Authority and Financial Conduct Authority. Details about the extent of our authorisation and regulation are available on request.

Hong Kong SAR: Distributed by Deutsche Bank AG, Hong Kong Branch except for any research content relating to futures contracts within the meaning of the Hong Kong Securities and Futures Ordinance Cap. 571. Research reports on such futures contracts are not intended for access by persons who are located, incorporated, constituted or resident in Hong Kong. The author(s) of a research report may not be licensed to carry on regulated activities in Hong Kong and, if not licensed, do not hold themselves out as being able to do so. The provisions set out above in the 'Additional Information' section shall apply to the fullest extent permissible by local laws and regulations, including without limitation the Code of Conduct for Persons Licensed or Registered with the Securities and Futures Commission. This report is intended for distribution only to 'professional investors' as defined in Part 1 of Schedule of the SFO. This document must not be acted or relied on by persons who are not professional investors. Any investment or investment activity to which this document relates is only available to professional investors and will be engaged only with professional investors.

India: Prepared by Deutsche Equities India Private Limited (DEIPL) having CIN: U65990MH2002PTC137431 and registered



office at 14th Floor, The Capital, C-70, G Block, Bandra Kurla Complex, Mumbai (India) 400051. Tel: + 91 22 7180 4444. It is registered by the Securities and Exchange Board of India (SEBI) as a Stock broker bearing registration no.: INZ000252437; Merchant Banker bearing SEBI Registration no.: INM000010833 and Research Analyst bearing SEBI Registration no.: INH000001741. DEIPL's Compliance / Grievance officer is Ms. Rashmi Poddar (Tel: +91 22 7180 4929 email ID: complaints.deipl@db.com). Registration granted by SEBI and certification from NISM in no way guarantee performance of DEIPL or provide any assurance of returns to investors. Investment in securities market are subject to market risks. Read all the related documents carefully before investing. DEIPL may have received administrative warnings from the SEBI for breaches of Indian regulations. Deutsche Bank and/or its affiliate(s) may have debt holdings or positions in the subject company. With regard to information on associates, please refer to the "Shareholdings" section in the Annual Report at: https://www.db.com/ir/en/annual-reports.htm. For latest India research audit report, refer https://country.db.com/india/deutsche-equities-india/index?language_id=1.

Japan: Approved and/or distributed by Deutsche Securities Inc.(DSI). Registration number - Registered as a financial instruments dealer by the Head of the Kanto Local Finance Bureau (Kinsho) No. 117. Member of associations: JSDA, Type II Financial Instruments Firms Association and The Financial Futures Association of Japan. Commissions and risks involved in stock transactions - for stock transactions, we charge stock commissions and consumption tax by multiplying the transaction amount by the commission rate agreed with each customer. Stock transactions can lead to losses as a result of share price fluctuations and other factors. Transactions in foreign stocks can lead to additional losses stemming from foreign exchange fluctuations. We may also charge commissions and fees for certain categories of investment advice, products and services. Recommended investment strategies, products and services carry the risk of losses to principal and other losses as a result of changes in market and/or economic trends, and/or fluctuations in market value. Before deciding on the purchase of financial products and/or services, customers should carefully read the relevant disclosures, prospectuses and other documentation. 'Moody's', 'Standard Poor's', and 'Fitch' mentioned in this report are not registered credit rating agencies in Japan unless Japan or 'Nippon' is specifically designated in the name of the entity. Reports on Japanese listed companies not written by analysts of DSI are written by Deutsche Bank Group's analysts with the coverage companies specified by DSI. Some of the foreign securities stated on this report are not disclosed according to the Financial Instruments and Exchange Law of Japan. Target prices set by Deutsche Bank's equity analysts are based on a 12-month forecast period.

Korea: Distributed by Deutsche Securities Korea Co.

South Africa: Deutsche Bank AG Johannesburg is incorporated in the Federal Republic of Germany (Branch Register Number in South Africa: 1998/003298/10).

Singapore: This report is issued by Deutsche Bank AG, Singapore Branch (One Raffles Quay #18-00 South Tower Singapore 048583, 65 6423 8001), which may be contacted in respect of any matters arising from, or in connection with, this report. Where this report is issued or promulgated by Deutsche Bank in Singapore to a person who is not an accredited investor, expert investor or institutional investor (as defined in the applicable Singapore laws and regulations), they accept legal responsibility to such person for its contents.

Taiwan: Information on securities/investments that trade in Taiwan is for your reference only. Readers should independently evaluate investment risks and are solely responsible for their investment decisions. Deutsche Bank research may not be distributed to the Taiwan public media or quoted or used by the Taiwan public media without written consent. Information on securities/instruments that do not trade in Taiwan is for informational purposes only and is not to be construed as a recommendation to trade in such securities/instruments.

Qatar: Deutsche Bank AG in the Qatar Financial Centre (registered no. 00032) is regulated by the Qatar Financial Centre Regulatory Authority. Deutsche Bank AG - QFC Branch may undertake only the financial services activities that fall within the scope of its existing QFCRA license. Its principal place of business in the QFC: Qatar Financial Centre, Tower, West Bay, Level 5, PO Box 14928, Doha, Qatar. This information has been distributed by Deutsche Bank AG. Related financial products or services are only available only to Business Customers, as defined by the Qatar Financial Centre Regulatory Authority.

Russia: The information, interpretation and opinions submitted herein are not in the context of, and do not constitute, any appraisal or evaluation activity requiring a license in the Russian Federation.

Kingdom of Saudi Arabia: Deutsche Securities Saudi Arabia (DSSA) is a closed joint stock company authorized by the Capital Market Authority of the Kingdom of Saudi Arabia with a license number (No. 37-07073) to conduct the following business activities: Dealing, Arranging, Advising, and Custody activities. DSSA registered office is Faisaliah Tower, 17th Floor, King Fahad Road - Al Olaya District Riyadh, Kingdom of Saudi Arabia P.O. Box 301806.

United Arab Emirates: Deutsche Bank AG in the Dubai International Financial Centre (registered no. 00045) is regulated by the Dubai Financial Services Authority. Deutsche Bank AG - DIFC Branch may only undertake the financial services activities that fall within the scope of its existing DFSA license. Principal place of business in the DIFC: Dubai International Financial Centre, The Gate Village, Building 5, PO Box 504902, Dubai, U.A.E. This information has been distributed by Deutsche Bank AG. Related financial products or services are available only to Professional Clients, as defined by the Dubai Financial Services Authority.

Australia and New Zealand: This research is intended only for 'wholesale clients' within the meaning of the Australian Corporations Act and New Zealand Financial Advisors Act, respectively. Please refer to Australia-specific research disclosures and related information at https://www.dbresearch.com/PROD/RPS_EN-PROD/PROD0000000000521304.xhtml . Where



research refers to any particular financial product recipients of the research should consider any product disclosure statement, prospectus or other applicable disclosure document before making any decision about whether to acquire the product. In preparing this report, the primary analyst or an individual who assisted in the preparation of this report has likely been in contact with the company that is the subject of this research for confirmation/clarification of data, facts, statements, permission to use company-sourced material in the report, and/or site-visit attendance. Without prior approval from Research Management, analysts may not accept from current or potential Banking clients the costs of travel, accommodations, or other expenses incurred by analysts attending site visits, conferences, social events, and the like. Similarly, without prior approval from Research Management and Anti-Bribery and Corruption ("ABC") team, analysts may not accept perks or other items of value for their personal use from issuers they cover.

Additional information relative to securities, other financial products or issuers discussed in this report is available upon request. This report may not be reproduced, distributed or published without Deutsche Bank's prior written consent.

Backtested, hypothetical or simulated performance results have inherent limitations. Unlike an actual performance record based on trading actual client portfolios, simulated results are achieved by means of the retroactive application of a backtested model itself designed with the benefit of hindsight. Taking into account historical events the backtesting of performance also differs from actual account performance because an actual investment strategy may be adjusted any time, for any reason, including a response to material, economic or market factors. The backtested performance includes hypothetical results that do not reflect the reinvestment of dividends and other earnings or the deduction of advisory fees, brokerage or other commissions, and any other expenses that a client would have paid or actually paid. No representation is made that any trading strategy or account will or is likely to achieve profits or losses similar to those shown. Alternative modeling techniques or assumptions might produce significantly different results and prove to be more appropriate. Past hypothetical backtest results are neither an indicator nor guarantee of future returns. Actual results will vary, perhaps materially, from the analysis.

The method for computing individual E,S,G and composite ESG scores set forth herein is a novel method developed by the Research department within Deutsche Bank AG, computed using a systematic approach without human intervention. Different data providers, market sectors and geographies approach ESG analysis and incorporate the findings in a variety of ways. As such, the ESG scores referred to herein may differ from equivalent ratings developed and implemented by other ESG data providers in the market and may also differ from equivalent ratings developed and implemented by other divisions within the Deutsche Bank Group. Such ESG scores also differ from other ratings and rankings that have historically been applied in research reports published by Deutsche Bank AG. Further, such ESG scores do not represent a formal or official view of Deutsche Bank AG. It should be noted that the decision to incorporate ESG factors into any investment strategy may inhibit the ability to participate in certain investment opportunities that otherwise would be consistent with your investment objective and other principal investment strategies. The returns on a portfolio consisting primarily of sustainable investments may be lower or higher than portfolios where ESG factors, exclusions, or other sustainability issues are not considered, and the investment opportunities available to such portfolios may differ. Companies may not necessarily meet high performance standards on all aspects of ESG or sustainable investing issues; there is also no guarantee that any company will meet expectations in connection with corporate responsibility, sustainability, and/or impact performance.

Copyright © 2026 Deutsche Bank AG

David Folkerts-Landau
Group Chief Economist and Global Head of Research

Pam Finelli
Global Chief Operating Officer
Research

Steve Pollard
Global Head of Company
Research and Sales

Jim Reid
Global Head of
Macro and Thematic Research

Tim Rokossa
Head of Germany
Research

Gerry Gallagher
Head of European
Company Research

Matthew Barnard
Head of Americas
Company Research

Peter Milliken
Head of APAC
Company Research

Debbie Jones
Global Head of Sustainability
and Data Innovation, Research

Sameer Goel
Global Head of EM & APAC
Research

Francis Yared
Global Head of Rates Research

George Saravelos
Global Head of FX Research

Peter Hooper
Vice-Chair of Research

International Production Locations

Deutsche Bank AG
Deutsche Bank Place
Level 16
Corner of Hunter & Phillip
Streets
Sydney, NSW 2000
Australia
Tel: (61) 2 8258 1234

Deutsche Bank AG
Equity Research
Mainzer Landstrasse 11-17
60329 Frankfurt am Main
Germany
Tel: (49) 69 910 00

Deutsche Bank AG
Filiale Hongkong
International Commerce
Centre,
1 Austin Road West,Kowloon,
Hong Kong
Tel: (852) 2203 8888

Deutsche Securities Inc.
1-3-1 Azabudai
Azabudai Hills Mori JP Tower
Minato-ku, Tokyo 106-0041
Japan
Tel: (81) 3 6730 1000

Deutsche Bank AG
21 Moorfields
London EC2Y 9DB
United Kingdom
Tel: (44) 20 7545 8000

Deutsche Bank Securities Inc.
The Deutsche Bank Center
1 Columbus Circle
New York, NY 10019
Tel: (1) 212 250 2500

Deutsche Bank AG
Filiale Singapur
One Raffles Quay, South
Tower,
Singapore 048583
TeL: +65 6423 8001